

Funding Proposal

FP193: Peruvian Amazon Eco Bio Business Facility (Amazon EBBF)

Peru | Peruvian Trust Fund for National Parks and Protected Areas (Profonanpe) | Decision B.34/10

14 November 2022



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Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the [GCF Information Disclosure Policy](#), project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

“FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]”

A. PROJECT/PROGRAMME SUMMARY				
A.1. Project or programme	Project	A.2. Public or private sector	Public	
A.3. Request for Proposals (RFP)	Enhancing Direct Access (EDA)			
A.4. Result area(s)	Check the applicable GCF result area(s) that the overall proposed project/programme targets below. For each checked result area(s), indicate the estimated percentage of GCF and Co-financers' contribution devoted to it. The total of the percentages when summed should be 100% for GCF and Co-financers' contribution respectively.			
		GCF contribution	Co-financers' contribution ¹	
	Mitigation total	00 %	00 %	
	☐ Energy generation and access	00 %	00 %	
	☐ Low-emission transport	00 %	00 %	
	☐ Buildings, cities, industries and appliances	00 %	00 %	
	☒ Forestry and land use	100 %	100%	
	Adaptation total	00 %	00 %	
	☐ Most vulnerable people and communities	00 %	00 %	
	☐ Health and well-being, and food and water security	00 %	00 %	
	☐ Infrastructure and built environment	00 %	00 %	
☐ Ecosystems and ecosystem services	00 %	00 %		
A.5. Expected mitigation outcome (Core indicator 1: GHG emissions reduced, avoided or removed / sequestered)	3,806,936 t CO ₂	A.6. Expected adaptation outcome (Core indicator 2: direct and indirect beneficiaries reached)	Indicate total number of direct and indirect beneficiaries	
			Indicate number of direct beneficiaries	Indicate number of indirect beneficiaries
			Indicate % of direct beneficiaries vis-à-vis total population	Indicate % of indirect beneficiaries vis-à-vis total population
A.7. Total financing (GCF + co-finance ²)	10,000,000 USD	A.9. Project size	Micro (Upto USD 10 million)	
A.8. Total GCF funding requested	8,972,400 USD <i>For multi-country proposals, please fill out annex 17.</i>			

¹ Co-financer's contribution means the financial resources required, whether Public Finance or Private Finance, in addition to the GCF contribution (i.e. GCF financial resources requested by the Accredited Entity) to implement the project or programme described in the funding proposal.

² Refer to the Policy of Co-financing of the GCF.

A.10. Financial instrument(s) requested for the GCF funding	<i>Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8.</i> ☒ Grant <u>8,972,400</u> ☐ Equity <u>Enter number</u> ☐ Loan <u>Enter number</u> ☐ Results-based payment <u>Enter number</u> ☐ Guarantee <u>Enter number</u>		
A.11. Implementation period	10 years (120 months)	A.12. Total lifespan	20 years
A.13. Expected date of AE internal approval	<i>This is the date that the Accredited Entity obtained/will obtain its own approval to implement the project/programme, if available.</i> 6/28/2022		A.14. ESS category <i>Refer to the AE's safeguard policy and GCF ESS Standards to assess your FP category.</i> I-2
A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	A.16. Has Readiness or PPF support been used to prepare this FP?	Yes ☒ No ☐
A.17. Is this FP included in the entity work programme?	Yes ☒ No ☐	A.18. Is this FP included in the country programme?	Yes ☒ No ☐
A.19. Complementarity and coherence	<i>Does the project/programme complement other climate finance funding (e.g. GEF, AF, CIF, etc.)? If yes, please elaborate in section B.1.</i> Yes ☒ No ☐		
A.20. Executing Entity information	• Peruvian Trust Fund for National Parks and Protected Areas (PROFONANPE)		
A.21. Executive summary (max. 750 words, approximately 1.5 pages)			

The Amazon Eco Bio Business Facility (EBBF) will provide effective climate change mitigation outcomes by investing in eco bio businesses (EBBs) supporting the sustainable management and conservation of Peruvian forests. The EBBF will be established as an open-end fund and capitalized with GCF's resources and Profonanpe's resources, while its long-term sustainability will be ensured via EBB grant repayments and possibly REDD+ results-based payments (RBP) earmarked to the EBBF under the national REDD+ RBP framework, should Peru qualify for results-based payments in the future.

The EBBF will contribute to the implementation of REDD+ infrastructure that will in turn provide support and evidence for its emissions reductions. This will take place in a context in which Peru is developing enabling conditions that permit REDD+ emission reductions to be accounted for in a uniform manner with a single National Forest Reference Level for deforestation and degradation beginning in 2021.

This proposal responds to the Enhanced Direct Access request for proposals, establishing an effective mechanism for the transfer of funds to projects of small EBBs without access to traditional financing, with clear investment criteria and in line with those of GCF.

During the project lifetime the EBBF will identify and invest in the expansion, upscaling and supporting technical improvement for up to 75+ EBBs focused on forest-based products and services. In parallel, the EBBF will provide technical support through an innovation partner to incubate and accelerate EBBs. The EBBF will prioritize projects in areas affected by high deforestation rates in the Amazon biome, namely, Amazonas, San Martin, Cusco, Puno, Loreto and Madre de Dios (See maps in Annex 16).

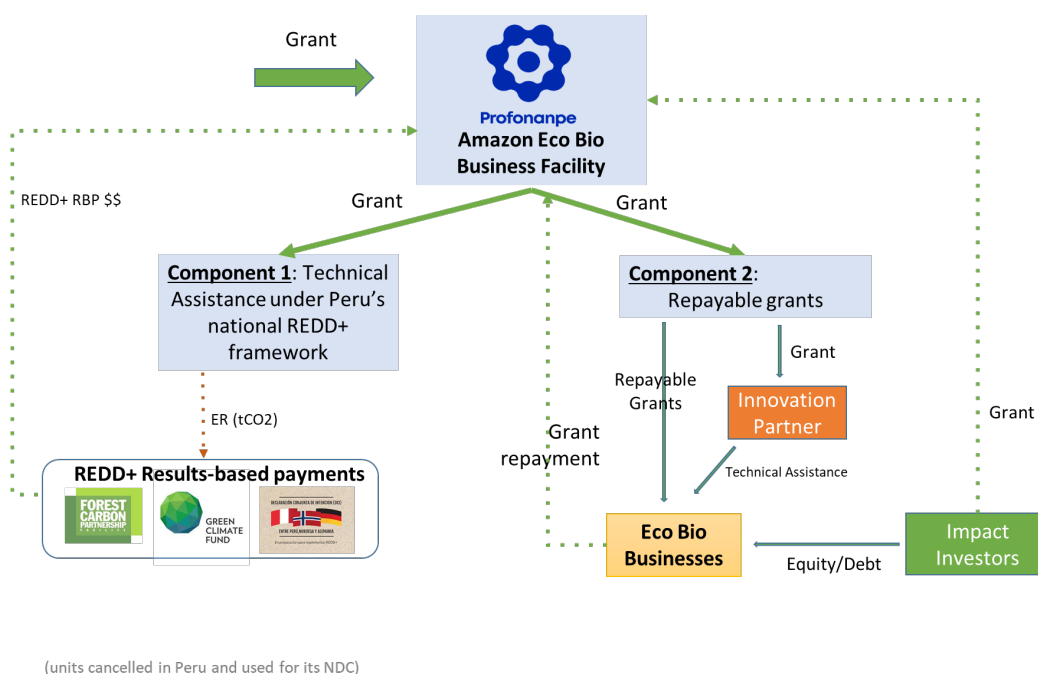


Figure 1. Project snapshot

The key objectives of the Amazon EBBF are:

1. **Provide effective climate change mitigation:** The EBBF provides technical assistance and seed capital grant funding on a demand-driven basis to EBBs while leveraging private finance to reduce emissions and enhance carbon stocks. The EBBF will provide specialized technical assistance to EBBs through an innovation partner to dynamize the interventions by covering all the regions of the project and provide seed funding in the form of repayable grants to 55 EBBs. This range is based on the availability of financial resources, financing needs of EBBs, and the number of EBBs registered in the country.

EBBF GCF-funded activities will strengthen Peru's climate change mitigation measures, empowering Peruvian EBBs to prevent 8,602 hectares of forest from being deforested. During the project lifetime, the EBBF will contribute to enhancing carbon stocks and avoiding the emission of 3.8 million tonnes of CO₂, with an estimated cost of 2.63 USD / t CO₂eq.

2. *Provide economic co-benefits in terms of job creation for men and women:* Smallholder farming employs approximately 75% of rural and peri-urban populations in Peru. The EBBF will provide economic co-benefits, alternative livelihoods through formal employment creation in green jobs for men and women. EBBF, through its investments, is estimated to contribute to the creation of 550 formal jobs and EBB staff training. Further on, it is estimated that an additional 2,200 people will indirectly be supported as part of EBBs' employees' households or through increased economic affluence and activity.
3. *Crowd-in investments in EBBs:* GCF will invest in the form of repayable seed capital grants in order to boost the EBBF so that EBBs are able to attract other investors, such as impact, private, and public investors seeking direct exposure to sustainable forest-based projects. Also, it is expected to promote EBBs led by women. Further details on the impact of the proposed actions are provided in section D.
4. *Support REDD+ infrastructure in Peru:* The project will provide Peru's Ministry of Environment with the support needed to strengthen Peru's REDD+ institutional framework and pilot the "nesting" of small-scale interventions under the national framework (*Component 1*).
5. First, it will strengthen the deforestation sub-module of the Forest Cover Monitoring Module and expand it to include the forest degradation sub-module. This will include the training of public sector, communities, and private sector actors to utilize the data for decision making purposes. This will enable more accurate data for land use policy creation, private sector planning for crops and forest-based products, and increased participation by communities in livelihood planning. Second, it will develop the reference level for the REDD+ activities of Conservation and Sustainable Management of Forests. Third, it will strengthen the technical and institutional capacities of MINAM and potential EBBs and end-beneficiaries to ensure, monitor, and report on the environmental and social safeguards, integrity and sustainability of the EBBs, in adherence to relevant international and national applicable safeguards and other relevant policies.

Both components will create a virtuous cycle of sustainable land stewardship and EBBs with improved enabling environments for success. They will be mutually reinforcing in that EBBs will support the successful implementation of REDD+ RBPs, which would result in a leverage finance for the EBBF to support additional EBBs and leverage outside capital from impact investors and other private actors thus leading to more RBPs.

The EBBF will be implemented by the *Facility Management Unit (FMU)*, under the strategic direction of the Board of the REDD+ Financial Mechanism. The REDD+ National Financial Mechanism is conceived as the means through which the country channels, administers and manages resources from different non-public sources for the implementation of initiatives, programs and/or projects that correspond to each of the three phases of REDD+. Profonanpe is the administrator of this Mechanism, and plays the role Technical and Financial Secretariat.

The Financial Mechanism Board will be composed by a diverse range of stakeholder representing key interest groups in relation to REDD+, it includes national and subnational government representants, amazon indigenous people representants and private sector. Designated members of the Board will provide strategic direction and decision-making over the overall execution of the project and the management of the facility.

B. PROJECT/PROGRAMME INFORMATION

B.1. Climate context (max. 1000 words, approximately 2 pages)

Peru has experienced strong economic growth in recent years, reducing poverty from 56 percent to 22 percent between 2005 and 2018³. However, the pace of progress significantly slowed down during the past five years as the global commodities boom retreated. As a result, in 2019 the country's poverty rate showed a 1 percent increase in the number of people living below the poverty threshold⁴. Vulnerable populations are under increased pressure from climate change which is a growing challenge to Peru's development efforts. In fact, despite its upper-middle-income status, inequality remains high, and poverty is concentrated among rural, indigenous populations, who are also the most affected by climate change. In the absence of sufficient climate change mitigation and adaptation actions⁵, the Government of Peru estimates economic losses between 7.3 to 8.6 percent of the country's annual GDP between 2016 and 2050⁶.

Peru's historical emissions have increased by 91 percent from 88.2 MtCO₂e in 1990 to 168.85 MtCO₂e in 2016⁷. Under business-as-usual policies, GHG emissions will continue to increase up to 298.3 MtCO₂e by 2030 (238 percent above 1990 levels). Forestry and other land use (FOLU) accounted for 42.3 percent (71.4 MtCO₂e) of total emissions in 2016. In its third national communication to the UNFCCC, the government of Peru identified deforestation as the main cause of FOLU emissions accounting for 53 percent the total⁸. In its nationally determined contributions, the Government of Peru envisages a 40 percent reduction in greenhouse gas emissions to 2030.

Forest conservation and sustainable landscape use account for the largest share of reduced GHG emissions projected in the NDC. To this end, mitigation of approximately 53,600,000 tCO₂e/y of emissions from the FOLU sector will contribute to 66% of Peru's expected overall emission reduction goal of 30% in 2030⁹. Deforestation in the 5 Amazonian regions of Loreto (19%), Ucayali (18%), San Martin (17%), Huánuco (14%) and Madre de Dios (9%) account for approximately 77% of total nationwide deforestation. These regions are comprised of Amazonian highlands, and high and lowland Amazon. Deforestation caused by migration from highlands and unsustainable land stewardship practices in the high and lowland Amazon are driven by a lack of clearly defined tenure rights - over 40% of deforestation occurs on unassigned land – and exacerbated by agricultural frontier and rural infrastructure expansion and land speculation as well as the presence of illicit logging, coca cultivation and mining.

These factors result in climate problems such as degraded land unsuited for agriculture as well as a lack of quality and quantity of reliable water sources for productive and human needs, which create vicious cycle of continued migration and expansion of deforested and degraded areas, resulting in increased vulnerability of indigenous communities and low-income rural populations whose livelihoods depend on forest-based activities.

Out of Latin American countries, Peru is has the third highest rates of loss and damages due to natural disasters between 1990 and 2013, and the second highest rate of loss and damages per 100,000 people¹⁰. Climate events such as droughts, flooding, cold waves and hail, as well as more extreme climate events such as El Niño have increased over 7 times between 1995 and 2008¹¹ and serve to exacerbate impacts caused by the vicious cycle of deforestation and land degradation previously described resulting in economic losses (crops, infrastructure and human settlements). In fact, 72% of national agricultural emergencies are related to climatic phenomena such as droughts, strong rains and floods.

Increasing climate events adversely affect ecosystems and populations. Flooding and landslide events will decrease water quality, increase soil erosion and damage infrastructure, further affecting water treatment, energy provision, irrigation, transportation, and infrastructure related to livelihoods, such as housing, industries and farming. Droughts cause losses in crops and livestock and changes in plant composition in forests, causing loss of plant species,

³ <https://www.macrotrends.net/countries/PER/peru/poverty-rate>

⁴ <https://www.reuters.com/article/us-peru-poverty/peru-poverty-rate-rises-for-first-time-in-16-years-government-idUSKBN1HV2L2#:~:text=Some%206.9%20million%20Peruvians%20now,to%20some%2010%20million%20people>

⁵ Please see Annex 23, which details major REDD+ financing to date and existing gaps.

⁶ <https://www4.unfccc.int/sites/ndcstaging/PublishedDocuments/Peru%20First/iNDC%20Per%C3%BA%20castellano.pdf>

⁷ <https://www.climatewatchdata.org/countries/PER>

⁸ <https://unfccc.int/sites/default/files/resource/pernc3.pdf>

⁹ MINAM (2015). <http://www.minam.gob.pe/wp-content/uploads/2015/06/contribucion-NDC21.pdf>

¹⁰ https://www.unisdr.org/files/48578_impactodesastresamericalatinacaribe.pdf

¹¹ National Strategy on Forests and Climate Change (MINAM 2016)

desertification, wildfires and a decrease in availability of forest species of economic value. Heat waves cause losses in agricultural production due to loss of flowering processes, an increase in diseases, and an increase in water demand for crops and livestock. These climate events disproportionately affect vulnerable groups of people¹² and people whose livelihoods depend on natural resources¹³, and in turn leaves them more vulnerable to other climate events. These affects are especially notorious when considering that agriculture and forest activities employ more than 25% of the population as of 2014¹⁴. Some potential effects on populations include increase in caring responsibilities which fall disproportionately on women, loss of income, loss and changes of economic livelihoods. These factors especially limit the resilience of rural women due to the fact that almost a third (27%) of female smallholder producers cannot read or write, compared with only 8.7% of men¹⁵.

The National Forest and Climate Change Strategy and REDD+ activities attend to these climate phenomena by establishing the institutional, data monitoring and environmental safeguard conditions that will allow for a results-based payment system that rewards government's, communities' and other stakeholders' efforts for avoided deforestation, forest conservation and other sustainable forest practices. At present, it also works directly with vulnerable indigenous communities in identified deforestation hotspots to promote forest cover conservation activities and small-scale forest product initiatives utilizing sustainable land stewardship practices. REDD+ activities increase forest carbon stocks through decreasing deforestation and providing value to standing forests and forest products. This will foster positive mitigation outcomes by reducing deforestation and land degradation through economic incentives and market investment for sustainable land use practices. It will also support indigenous and rural communities by increasing available natural and economic resources to bear in the face of climate events.

EBBs are the main market actor actively engaged in forest conservation and employment creation in rural regions. EBBs are mentioned extensively in Peru's NDC strategy for mitigation targets across different sectors. The Government of Peru defines EBBs, through the Ministerial Resolution N° 046-2020-MINAM General guidelines to identify and promote eco-businesses and bio-businesses, as "*businesses that are based on the sustainable use of biodiversity products, taking into account the criteria of environmental, social and economic sustainability.*"¹⁶. Peru's NDC and Biocommerce National Strategy and Action Plan 2025¹⁷ prioritize the promotion and scale up of private and public EBBs to promote forest conservation and restoration in order to meet mitigation targets, and to increase the contribution of the forestry sector to the country's GDP to the benefit of vulnerable and rural communities.

According to a latest study prepared by the Ministry of the Environment¹⁸, 1,317 companies with biodiversity-friendly business models were identified, of these, 860 companies have the potential to scale up to impact investments, with more than two years in the market and a turnover of more than US\$ 174 thousand approximately. Likewise, the main value chains of these biodiversity-friendly businesses are:

¹² <https://www.un.org/sustainabledevelopment/blog/2016/10/report-inequalities-exacerbate-climate-impacts-on-poor/>

¹³ Chavez Michaelson, A. et al. (2020) The effects of climate change variability on rural livelihoods in Madre de Dios, Peru. Regional Environmental Change. 20(70). <https://doi.org/10.1007/s10113-020-01649-y>

¹⁴ Plan Nacional de Adaptación, p.84

¹⁵ Ibid, p.85

¹⁶ Ministerial Resolution N° 046-2020-MINAM.

¹⁷ <https://consultasenlinea.mincetur.gob.pe/DocumentosNormativos/Publico/Imagen.aspx?ITEM=132856>

¹⁸ Baseline of friendly business models with the biodiversity - Bioinvest Project

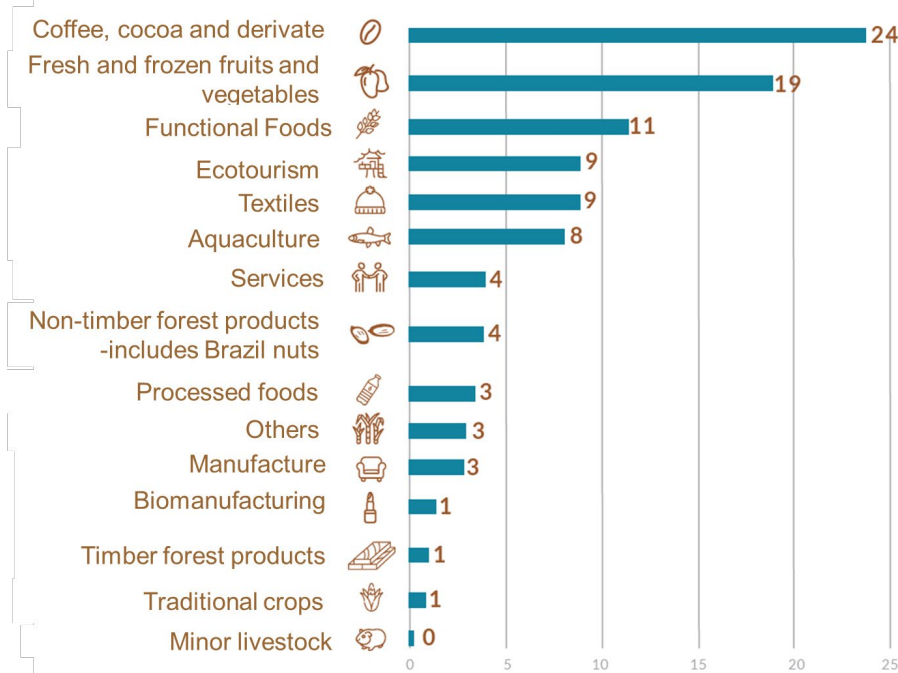


Figure 2 Main value chains by categories (%)

Below are presented more indicators from the 1,317 companies:

- 41% are led by women
- 63% have environmental certifications
- 4% have acces to impact investors
- 9% did not meet the eligibility requirements of credit institutions

Despite growing interest in EBBs, several significant barriers hinder the establishment and scale up of successful EBBs. These can be divided across four areas: entrepreneurial and management skills, innovation and technology, access to market and access to finance.

Table 1. Eco Bio Business Capacity Gaps

Entrepreneurial skills	• Unable to carry out bureaucratic procedures. • Difficulties in obtaining required business certifications. • Difficulties in obtaining health certifications for products (registros sanitarios) • Dearth of negotiation, financial, technological and innovation skills. • Lack of marketing strategy. • Difficulty in positioning products on the market.
Innovation and technology	• Lack of R&D resources and capabilities • Lack of mechanization of processes • Limited research in innovation: development of new products, new business models. • Lack of scientific studies supporting products development and regulation • Limited scientific research on bioeconomy products • Slow development of new products. • Development, formalization and protections of brands, trademarks and patents
Access to market	• Lack of market studies to inform the development and positioning of products and services. • Difficulty in accessing information on regulations governing export to international markets. • Lack of awareness about the benefits of natural products to promote demand. • Limited supporting scientific evidence about the properties of natural products. • Small domestic market with limited awareness of local natural products. • Limited negotiation power against supermarkets and distributors • High upfront capital required. • Limited understanding of the logistics to access international markets
Access to finance	• Lack of collateral to raise finance from local financial institutions. • No communication channels with regional and international impact investors. • Domestic financial institutions have limited experience in lending to EBBs and their business models

- High interest rates due to perceived high risk of EBBs.

While EBBs represent a growing sector of Peru's economy with significant contribution to the country's mitigation targets, their development is at an embryonic stage with little progress and support. Due to the significant barriers limiting their growth, most of them never graduate from their status as microenterprises. Concessional finance is needed to establish an Amazon EBBF providing technical assistance and capital injection into nascent and established EBBs to improve their risk/reward profile in line with impact investors' appetite. Concessional finance in the form of repayable grants will enable the deployment of blended finance solutions whereby grants will serve as first-loss buffers to leverage additional investments from private and public investors. Conditions created by the EBBF can lead to a positive feedback loop whereby a growing number of EBBs will support the implementation of REDD+ result-based-payments which, in turn, will replenish the facility allowing the support of even more EBBs.

As background, PROFONANPE has been executing the FP001 Project: Building the Resilience of Wetlands in the Province of Datem del Marañon, Peru. The project is contributing to the development and testing procedures for promoting sustainable bio-businesses, based on sustainably managed natural or specialty products from Amazon forests that are aligned with new and growing markets and private sector interests.

B.2 (a). Theory of change narrative and diagram (max. 1500 words, approximately 3 pages plus diagram)

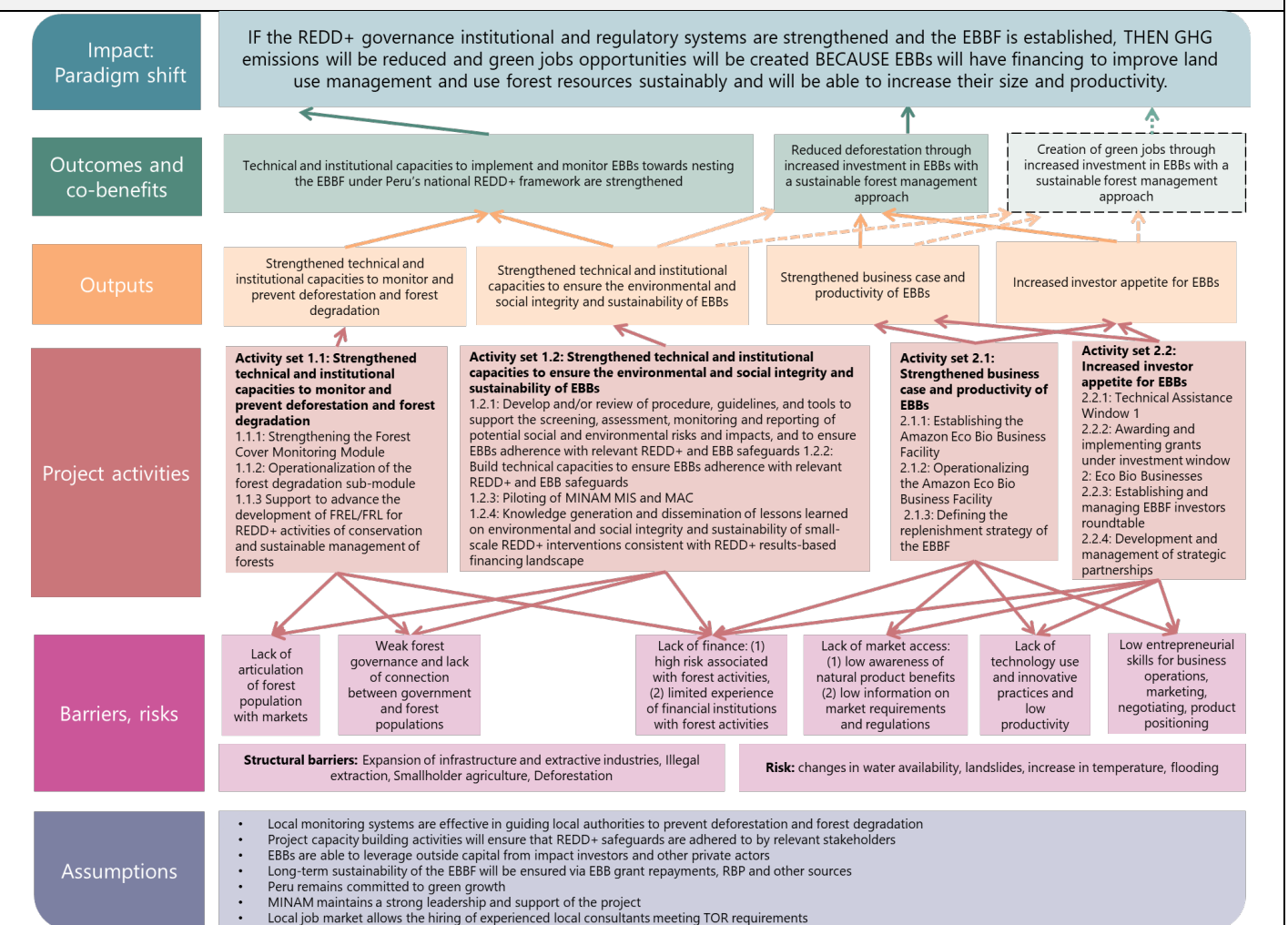


Figure 2. EBBF Theory of Change

The Peruvian Amazon faces serious climate risks exacerbated by three main practices identified by The National Strategy for Forests and Climate Change (ENBCC): (i) the expansion of infrastructure and extractive industries, (ii) illegal timber extraction, and (iii) smallholder agriculture. These practices are the principal drivers of deforestation in the EBBF target regions of Amazonas, San Martin, Cusco, Puno, Loreto and Madre de Dios. Deforestation from these practices increases climate change-related risks such as water quality and availability, landslides, temperature

variations and flooding patterns that adversely affect crops and the economic livelihoods of forest-dependent communities and smallholder farmers in a disproportionate manner. The project will address the barriers that fuel unsustainable practices in order to shift the current development pathway towards a more sustainable use of forest resources, and reduced deforestation. These barriers are related to weak climate governance issues and the lack of articulation between forest-based businesses and markets. The former includes ill-defined roles between forest activity stewards such as the regional governments, MINAM and SERFOR, and the lack of monitoring systems that provide evidence-based information for decision making and the dearth of capacity of forest-based populations to monitor and report on illegal activities. The latter is due to a series of factors related to EBBs and the vicious cycle in which they often find themselves. On one hand, the high-risk level of forest-based activities and limited experience of financial entities with forest actors results in financial products that are not attractive or accessible to EBBs. These instruments often have high interest rates and grace periods that are not aligned with forest product harvesting cycles.

At the EBBs level, a variety of interlinked issues hinder market success. On one hand, EBBs staff have limited entrepreneurial skills for more sophisticated business activities such as marketing, negotiating contracts, product positioning and growing the business operation. Often EBBs owners and staff work with traditional methods and are not aware of technology trends and practices that can increase efficiency and productivity. Finally, information barriers are significant. EBBs often lack market information about market requirements for certifications, regulations for importing and exporting, which limit their opportunities and increase their transaction costs for doing business. Consumers often have scant or contradictory information about the use and benefits of natural products, which means they may be unaware of many EBBs products or not understand the best way to take advantage of them.

Consistent with the national REDD+ results-based implementation and financing mechanism and EBB national regulation, the proposed project will provide practical support to design and upscaling of EBBs and putting in place the enabling conditions to nest EBBs under the national REDD+ framework. The EBBF will play a key role to piloting the operation of the REDD+ financial mechanism to transfer REDD+ based finance to support small-scale interventions at EBB level.

The financing provided to EBBs will support training and promotion activities that will promote a virtuous cycle characterized by increased investor interest in EBBs and successful EBB growth, which will lead to increased productivity and a stronger case to be made internationally for the viability of EBBs. This increased capacity, will result in improved land use practices and long-term use of technology and practices adopted for responsible land stewardship. The proposed project will provide practical support to the ENBCC implementation, complementing current government efforts as well as international efforts under the Phase II of the implementation of the Joint Declaration of Intent (JDI) and UNREDD+. Below, we describe the support provided by each project component:

Component 1 of the proposed project, will address weak forest governance and a lack of articulation with markets by strengthening technical and institutional capacities to design, implement and monitor EBBs towards nesting the EBBF under Peru's national REDD+ framework. This includes the strengthening and operationalizing of 3 REDD+ pillars:

- (1) the Forest Cover Monitoring Module,
- (2) Reference Levels for Forest Emissions, and
- (3) Safeguard mechanisms.

Addressing these gaps will result in strengthened forest governance, increased knowledge and deforestation monitoring and the operationalization of results-based payments. A share of results-based payments achieved through REDD+ efforts, following the benefit sharing mechanism, will be further earmarked to the Amazon EBBF (Component 2) in support of EBBs contributing to the sustainable management of standing forests and the generation of green jobs for men and woman.

Component 2 will address EBB-centered issues described above such as the lack of funding, technology and knowledge, and low productivity and value of forest products through the establishment and operationalization of an Amazon EBBF providing demand-led technical and financial support to Peruvian EBBs. EBBs will receive technical and financial support (repayable grants) for the expansion/adoption of sustainable agricultural and forestry practices. Furthermore, the Amazon EBBF will act as anchor investor to demonstrate confidence in EBBs, lower private investment risk and crowd in private capital investments. The aim of this component is to support EBBs access domestic and international markets for sustainably sourced forest-based products and zero-deforestation commodities, while building efficient and socially impactful value-chains. The EBBF will support improved sustainable and resilient land

use practices and forest-based technologies and transform EBBs into active actors against deforestation and forest degradation.

Components 1 and 2 have clear self-reinforcing links whereby a growing number of successful EBBs will support the mobilization of REDD+ result-based-payments which, in turn, will replenish the Amazon EBBF, allowing the support of an increased number of eligible EBBs and the leveraging of more private investments for mitigation actions.

An important aspect of the EBBF is that it will form a cornerstone of the larger established system of REDD+ governance for the administration of Results Based Payments, where Profonampe has been designated as the administrator of the Financial Mechanism of REDD+ in the country¹⁹. Through GCF financing for the EBBF, Profonampe would be not only strengthen its role in support of forest-based communities but would also will develop the first pilot of the operation of the REDD+ financial mechanism to support small-scale interventions. In this sense, GCF financing would contribute to the virtuous cycle of RBP that would foment its sustainability in the long term.

Thus, if the REDD+ governance institutional and regulatory systems are strengthened and the EBBF is established, then GHG emissions will be reduced and green jobs opportunities will be created because EBBs will have financing to improve land use management and use forest resources sustainably and will be able to increase their size and productivity

B.2 (b). Outcome mapping to GCF results areas and co-benefit categorization

Outcome number	GCF Mitigation Results Area (MRA 1-4)				GCF Adaptation Results Area (ARA 1-4)			
	MRA 1 Energy generation and access	MRA 2 Low-emission transport	MRA 3 Building, cities, industries, appliances	MRA 4 Forestry and land use	ARA 1 Most vulnerable people and communities	ARA 2 Health, well-being, food and water security	ARA 3 Infrastructure and built environment	ARA 4 Ecosystems and ecosystem services
Outcome 1	☐	☐	☐	☒	☐	☐	☐	☐
Outcome 2	☐	☐	☐	☒	☐	☐	☐	☐

Co-benefit number	Co-benefit					
	Environmental	Social	Economic	Gender	Adaptation	Mitigation
Promotion of green jobs	☐	☐	☒	☐	☐	☐

B.3. Project/programme description (max. 2500 words, approximately 5 pages)

Conceived in response to the GCF's Enhanced Direct Access request for proposals, the Amazon EBBF seeks to leverage public and private investments to support national climate change mitigation objectives by fostering of EBBs in the Peruvian Amazon Biome that support the sustainable management and conservation of Peruvian forests under the umbrella of the National Strategy for Forests and Climate Change (ENBCC, for its name in Spanish) and consistent with the national regulatory framework for eco and bio businesses.

The ENBCC constitutes Peru's national policy REDD+ framework and defines a cross-sectoral and multilevel policy framework to transform the land use sector through integrated and sustainable forest landscapes, strengthened local governance and thriving and sustainable local livelihoods and agricultural practices. To achieve its objectives, the ENBCC requires to put in place a series of technical and institutional enabling conditions to incentivize sustainable forest management and agricultural production, including opening markets for sustainable value chains, developing or revision regulations, as well as developing local and institutional capacities, while ensuring and inclusive and gender-responsive investment process.

¹⁹ Supreme Decree 003-2022-MINAM

In developing its national REDD+ results-based implementation and financing mechanism, MINAM has enacted further regulations to identify and categorize REDD+ actions to be considered under the national performance in the context of REDD+ results-based financing, including in relation to monitoring and estimation of mitigation outcomes, social and environmental performance vis-à-vis Cancun Safeguards and Peru's country approach, as well as in relation to ownership of carbon units to be considered in the context of voluntary markets and overall national greenhouse gases accounting for the purposes of achieving Peru's NDC objectives. Box 1 outlines the criteria identify, categorize and/or design, and implement a REDD+ action under the national REDD+ framework.

Box 1 Criteria to identify, categorize and /or design and implement a REDD+ action

As defined in Article 1 of the guidelines to identify and classify a REDD+ action, the following criteria should be met to be considered as an action under the national REDD+ framework:

- a) The action should be consistent with at least one (1) of the five (5) eligible REDD+ activities / measures as defined by the UNFCCC.
- b) The action should be aligned with at least one (1) of the eight (8) strategic actions defined under the ENBCC, as the public policy instrument constituting Peru's national action plan.
- c) The action should meet as a minimum the following criteria, defined for mitigation measures in the Climate Change Framework Law:
 - Result in greenhouse gas emission reductions and/or the enhancement of forest carbon stocks against a national emissions and absorptions baseline.
 - A baseline for emissions and absorptions corresponding to their activity is in place.
 - Have available and quantitative information on costs and mitigation potential.
 - Aim to be consistent and complementary to the objectives of the LMCC and other relevant policies, strategies, plans, programmes and projects, as prioritized by sectoral, regional and local authorities, as relevant.
 - Generate benefit beyond climate change mitigation, including social, economic and environmental.
- d) Generate greenhouse gas emission reductions and/or the enhancement of forest carbon stocks as a direct result of its implementation.
- e) The action is consistent with guidelines by the DGCCD, as Peru's REDD+ focal point, including in relation to efforts to address and respect REDD+ safeguards with a view to monitoring and reporting in the context of REDD+ implementation.

Source: adapted from the Ministerial Decree 143-2021-MINAM and Peru's first SOI.

Similarly, Ministerial Decree 143-2021-MINAM establishes a typology of REDD+ actions and associated criteria to be met, and associated expected environmental and socio-economic benefits beyond those mitigation outcomes, hereon co-benefits; see Table 2.

Table 2 Typology of REDD+ actions, REDD+ eligible activities, strategic actions under the ENBCC and associated environmental and social co-benefits

N°	REDD+ actions as per Ministerial Resolution 143-2021	Alignment with at least one of the five (05) associated REDD+ eligible actions	Alignment with at least one of the eight strategic actions under the ENBCC	Priority environmental and/or social co-benefits
1	Sustainable and deforestation free agricultural and livestock production	Emission reductions from deforestation	Promote sustainable and climate compatible agricultural and livestock production, that reduces the pressure on natural forests	Contributes to food security of forest dependent local families and indigenous peoples in the Amazon, Andes and Coastal regions, as appropriate.

2	Sustainable Forest Management	Sustainable management of forests.	Increase the value of standing forests through sustainable forest management, including community management and other activities that increase the value in relation to deforestation and degradation-intensive economic activities.	Contributes to the conservation of ecosystemic services, with significant for the livelihoods and traditions of local families and indigenous peoples in the Amazon, Andes and Coastal regions, as appropriate.
3	Amazonian Indigenous REDD+ and Amazonian and Coastal Indigenous REDD+	Sustainable management of forests.	Reduce the vulnerability of forest dependent local communities against the impacts of climate change, including the consideration of traditional knowledge.	Contributes to food security of forest dependent local families and indigenous peoples in the Amazon, Andes and Coastal regions, as appropriate, and to the conservation of traditional knowledge, ecosystem services and biodiversity.
4	Community Forest Management	Sustainable management of forests.	Increase the value of standing forests through sustainable forest management, including community management and other activities that increase the value in relation to deforestation and degradation-intensive economic activities.	Contributes to the conservation of ecosystemic services, with significant for the livelihoods and traditions of local families and indigenous peoples in the Amazon, Andes and Coastal regions, as appropriate.
5	Conservation of Forests on Indigenous Territories	Conservation of forest carbon stocks	Enhance the resilience of forest ecosystems, particularly those that are highly vulnerable and/or that generate goods and services critical to local populations.	Contributes to the conservation of ecosystemic services and biodiversity that are critical for the livelihoods of local families and indigenous peoples in the Amazon, Andes and Coastal regions, as appropriate.
6	Land tenure, forest monitoring and governance, in local communities and indigenous peoples' territories	Emission reductions from deforestation	Complete territorial planning and zoning in forest areas, legal titles of ownership over forest resources and wildlife in buffer zones.	Contribute to the recognition of indigenous peoples' rights and governance over their territories, as well as to the conservation of ecosystem services and biodiversity in forest landscapes.
7	Strengthening of the protected Areas system and other conservation schemes	Conservation of forest carbon stocks	Enhance the resilience of forest ecosystems, particularly those that are highly vulnerable and/or that generate goods and services critical to local populations.	Contributes to the conservation of ecosystem services and biodiversity that are critical for the livelihoods of local families and indigenous peoples in the Amazon, Andes and Coastal regions, as appropriate.
8	Afforestation, reforestation, rehabilitation and restoration of forest ecosystems with a landscape approach	Enhancement of forest carbon stocks.	Enhance the resilience of forest ecosystems, particularly those that are highly vulnerable and/or that generate goods and services critical to local populations.	Contributes to the restoration of forest ecosystems and their biodiversity, which are critical for the livelihoods of local families and indigenous peoples in the Amazon, Andes and Coastal regions, as appropriate.

Source: Adapted from the Ministerial Decree 143-2021-MINAM

Peru has developed a robust policy and institutional framework to promote EBBs that contribute to the conservation of biodiversity and economic and social sustainability, including through a fair distribution of the associated benefits from their implementation. As defined in the “General guidelines to identify and promote ecobusiness and biobusiness”, EBBs will pursue the sustainable management and use of biodiversity, underpinned by the principles of environmental, social, and economic sustainability, including in relation to the conservation of natural forest resources, the inclusion of communities and traditional knowledge in the development of sustainable value chains, and the diversification of local livelihoods²⁰. Table 3 outlines the criteria defines for eco and bio business according to Peruvian regulations.

Table 3 Key elements, minimum criteria for Eco & Bio Businesses in Peru

Key elements of Eco & Bio Businesses	Minimum criteria of a Ecobusiness	Guiding questions to identify a Ecobusiness	Guiding questions to identify a Biobusiness
Environmental	Prevents, reduces and/or reverts environmental impacts to promote a sustainable use of natural resources.	Does the EBB has a recognized environmental certification for the main area of economic activity? *Where the business model can obtain certification.	The product or service contributes to the conservation and enhancement of biodiversity and natural resources in its area of influence.
		The production of the good / service uses substances or materials that are harmless or compatible with the environment and human health?	The EBB does not introduce or use invasive / exotic species.
		The production of the good / service uses materials or inputs of known origins?	The EBB does not result in changes in the landscape and ecosystems in its area of influence.
Social	Adopts social responsibility practices to distribute the economic and social development benefits from the activity and provides transparent information and strives to provide the best service to the customers and beneficiaries.	Does the EBB actively engage the local community?	N/A
		Does the EBB have legal rights over the land where the EBB will be developed and avoids forced displacement?	Does the EBB have access rights over the natural resources where the EBB will be developed?
		Does the EBB actively pursue local development and the diversification of local livelihoods in its area of influence?	The EBB protects traditional knowledge
Economic	Generates economic sustained and regular economic benefits and ensures equitable benefit sharing.	Does the EBB have an active single taxpayer registry?	The price of the product includes production and commercialization costs?
		Does the EBB have the register, license, permits and other requirements required to perform its economic activity?	The EBB integrates environmental costs in its business model.

Source: Adapted from the Ministerial Decree 046-2020-MINAM

²⁰ Ministerial Resolution N° 046-2020-MINAM General guidelines to identify and promote eco-businesses and bio-businesses, available: <https://www.gob.pe/institucion/minam/normas-legales/441688-046-2020-minam>

Only the EBBs that meet the criteria outlined in the table 6 describing the prioritization and eligibility criteria for Grant Window 2 below will be considered. Therefore, it is important to note that not all EBBs will be eligible for EBBF funding, as they may not have a direct impact on emissions. EBBs that demonstrate a statistically significant reduction in emissions or increase in removals will be considered for this analysis, particularly prioritizing those focusing on agroforestry or in frontier areas of deforestation. EBBs will be screened to determine their relevance to climate change mitigation impact before funding is granted, including an analysis of priority value chains with regards to their mitigation potential.

In the table below is presented potential value chains, including products and services and their potential intervention in mitigation goals.

Table 4 Value chains and products/services potential in climate change mitigation goals

Value Chain categories (a)	Products/Services (b)	Access mode (c)	Contribute at least one REDD + action (d)	Generates a reduction in emissions or conservation/increase of forest carbon stocks (05 associated REDD+ eligible actions) (e)	Keep s the forest stand ing (f)	If it is located in forests, they remain as forests for at least the duration of the project (g)
Agroforestry	Fine aroma cocoa, chocolate, coffee, camu camu (<i>Myrciaria dubia</i>), sachá inchi (<i>Plutekenia volubilis</i>), achote (<i>Bixia sp</i>) medicinal plants, copuazu (<i>Theobroma grandiflora</i>), aguaymanto (<i>Physalis peruviana</i>), native palms, honey and other products beekeepers	Assignment Contracts in Use for Agroforestry Systems (CUSAF), private property, native and peasant communities	Action 1: Sustainable family farming production free from deforestation. Action 5: Conservation of forests on the lands of peasant and native communities. Action 8: Afforestation, reforestation, rehabilitation and restoration of forest ecosystems with a landscape approach.	Yes, reduction of emissions due to deforestation, due to the loss or permanent conversion of forests threatened by other land uses. Also, conservation and increase of forest carbon stocks. In Amazonas, a coffee chain value can stock 98.80 tn CO ₂ ha ⁻¹ (In coffee-guabapashaco agroforestry systems) ²¹ , and for cacao value chain, 165.41 t CO ₂ ha ⁻¹ (In a 12-year agroforestry system) ²² .	Yes, it is part of the CUSAF commitments	Yes, this is the condition for the CUSAF case

²¹ <https://repositorio.untrm.edu.pe/handle/20.500.14077/1384>

²² http://www.scielo.org.pe/scielo.php?pid=S1726-22162007000100009&script=sci_arttext&tlng=en

Forest use for timber purposes	Round wood, sawn wood, by-products	a) Timber forest concessions, b) Permits for forest use on lands of native and peasant communities	Action 2: Sustainable Forest management Action 4: Community Forest management Action 8: Afforestation, reforestation, rehabilitation and restoration of forest ecosystems with a landscape approach.	Yes, reduction of emissions due to sustainable timber forest management, reduction of emissions due to forest degradation, and increase of forest carbon stocks.	Yes	Yes
Non-timber forest use	Harvesting chestnut (<i>Bertholletia excelsa</i>), shiringa latex (<i>Hevea brasiliensis</i> aguaje (<i>Mautiria flexuosa</i>), huasai (<i>Euterpe preacatoria</i> , <i>Euterpe oleracea</i>), ungurahui, bijao (<i>Calathea lutea</i>), cat's claw (<i>Uncaria</i> sp), ornamental, honey and bee products	a) Timber forest concessions b) Permits for forest use on lands of native and peasant communities	Action 2: Sustainable Forest management Action 4: Community Forest management Action 5: Conservation of forests on the lands of peasant and native communities. Action 8: Afforestation, reforestation, rehabilitation and restoration of forest ecosystems with a landscape approach.	Yes, reduction of emissions due to sustainable timber forest management, reduction of emissions due to forest degradation, and conservation and increase of forest carbon stocks. In Loreto, the aguaje value chain stock 262.44 t CO ₂ ha ⁻¹ (in dense aguajal) ²³	Yes	Yes

²³ <https://repositorio.unsm.edu.pe/bitstream/handle/11458/228/6053412.pdf?sequence=1&isAllowed=y>

Ecotourism	Nature tourism initiatives, community tourism	a) concessions for ecotourism b) native and peasant communities, c) private properties	Action 2: Sustainable Forest management Action 4: Community Forest management Action 7: Strengthening of protected areas and other conservation figures.	Yes, reduction of emissions due to sustainable timber forest management, reduction of emissions due to forest degradation, and conservation of forest carbon stocks.	Yes	Yes
Wildlife Management	Taricaya, Teparo, Lagarto Blanco	concessions	Action 7: Strengthening of protected areas and other conservation figures.	Yes, conservation of forest carbon stocks.	Yes	Yes

Source: MINAM

More recently, in the context of its response to the global shock of the pandemic, Supreme Decree 003-2022-MINAM declared the climate emergency as of national interest. This decree states the urgency to implement measures towards achieving Peru's climate commitments under the UNFCCC by 2030 and contribute to limiting the increase of global average temperature, while ensuring its sustainable development, poverty alleviation and reducing vulnerabilities to the impacts of climate change. Proof of Peru's high level of political commitment to climate action through a cross-sectoral effort, the Decree establishes a series of priority actions and mandates the Ministry of Environment to put in place a process to receive, manage and distribute the benefits from a diversity of financial sources -national and international, and mandates PROFONANPE as the financial manager of said financial function (Article 3.2).

It is in this context, and aligned with the GCF's investment criteria, that the EBBF has been conceived to provide capital seed investments for EBBs that facilitate the sustainable management and conservation of forest landscapes that contribute to Peru's national forest and climate change and EBB-related objectives (Component 2), and will provide specialized technical assistance to strengthen technical and institutional capacities to enable the implementation, monitoring and reporting of EBBs consistent with Peru's national REDD+ framework (Component 1).

By supporting the design and upscaling of EBBs and putting in place the enabling conditions to nest EBBs under the national REDD+ framework, the EBBF will contribute directly to the achievement of Peru's national and international climate mitigation and adaptation priorities and objectives while generating green jobs. Moreover, consistent with the national REDD+ results-based implementation and financing mechanism and EBB national regulation, the EBBF will play a key role to piloting the operation of the REDD+ financial mechanism to transfer REDD+ based finance to support small-scale interventions at EBB level.

Component I: Strengthen technical and institutional capacities to design, implement and monitor EBBs towards nesting the EBBF under Peru's national REDD+ framework

In its role as the financial manager for the national REDD+ financial mechanism, and as a DAE under the GCF eligible to facilitate the transfer of REDD+ based finance to support small-scale interventions at EBB level, Profonampe is uniquely positioned to support MINAM, as the national authority on climate change and EBBs to develop and strengthen technical and institutional capacities, including through tools, trainings, and technical backstopping. In doing so, the EBBF aims to contribute to address the remaining gaps to enable the implementation, monitoring and reporting of

small-scale REDD+ interventions through EBBs, with a view to their eligibility to REDD+ results-based financing under the national framework (Component 1).

Implemented under PROFONANPE's institutional framework, and consistent with the GCF's investment criteria and policies funding and national REDD+ results-based implementation and financing mechanism and EBB national regulation, the EBBF proposal will directly contribute to strengthening Peru's REDD+ institutional framework and pilot the "nesting" of small-scale interventions under the national framework. The EBBF will provide specialized technical assistance and backstopping to: i) strengthen technical and institutional capacities to monitor and prevent deforestation and forest degradation (Output 1.1); and ii) strengthen technical and institutional capacities to ensure the social and environmental integrity and sustainability of the EBBs (Output 1.2).

Output 1.1: Strengthened technical and institutional capacities to monitor and prevent deforestation and forest degradation

In 2021, MINAM submitted to the UNFCCC a new forest reference emission level (FREL), which is still in the process of being accepted. This update includes improvements in terms of precision and uncertainty calculations. Further, the methodology to estimate deforestation has been modified. This reference level is still limited to the Amazon biome and to emissions from deforestation. The measurement of emissions due to forest degradation has not yet been incorporated, but initial estimates consider it to be very significant. Developing these degradation estimates is a priority for the country.

In this context, MINAM seeks to strengthen the Forest Cover Monitoring Module (MMCB), which is part of the National Forest and Wildlife National Information System (SNIFFS), by developing an analysis of compatibility and consistency of the new methodology to estimate forest loss used in the updated FREL with the previous methodology produced by the country's official deforestation information unit (Geobosques). This analysis will ensure a consistent instrument for the measurement, monitoring, reporting and verification of forest cover and associated emissions.

The first task will be to incorporate into Geobosques the new methodology developed to estimate deforestation and to continue to improve the level of precision and detail of the instrument until it is able to detect changes in forest cover in small areas, such as the areas where the EBBs will be active. This, in turn, will enable the EBBF to monitor the impact of its beneficiaries on forests. Not only will it have a positive impact on this project, but it will benefit all REDD+ initiatives, as well as facilitate the compliance of various producers with financial entities and support programmes in maintaining deforestation-free operations.

The second task is to complete the work already started on the estimation of emissions from forest degradation, which is of great interest so that EBBs associated with timber harvesting in standing forests subject to degradation pressure can demonstrate emission reductions and thus receive the benefits corresponding to their contribution. The third and final task corresponds to developing the measurement methodology and the reference level for REDD+ activities of Conservation and Sustainable Management of Forests, also key for EBB initiatives in forested areas.

Activity 1.1.1 Strengthening the Forest Cover Monitoring Module (MMCB). Deforestation sub-module.

MINAM will carry out a compatibility analysis between the methodology for mapping deforestation of the MMCB and the methodology of the Reference Mesh approach on deforestation used recently in the report of the reference level to the UNFCCC. This analysis will allow the definition of a unique and consistent methodological approach to generate the data on deforestation activity, which in turn will permit the generation of reports on forest emissions in the framework of the country's various climate commitments.

In addition, MINAM will develop the thematic accuracy analyses for the forest loss maps (years 2001-2019). This independent accuracy evaluation of the activity data will allow verification of the reduced emissions for performance payments.

Activity 1.1.2 Operationalization of the forest degradation sub-module

MINAM will operationalize the forest degradation sub-module, enhancing the capacity of the MMCB, through Geobosques, to monitor forest degradation. While significant progress has been made in monitoring deforestation, additional work is required for the quantification of degradation. Currently, the country is developing a methodological framework for the development of the degradation reference level in Amazon forests through the support of the national UN REDD+ program. The EBBF project will ensure sustainability of the work through support in the operation of the

Forest Degradation Submodule, as well as having a team of experts to make methodological adjustments to degradation mapping in order to have consistent data for reporting and results-based payments.

To this end, capacity building will be provided to government officials at national and regional levels on the use of degradation data and tools for monitoring.

This activity may also allow EBBs located in non-frontier areas to engage more with the EBBF, as there will be a better approach available to estimate avoided emissions from degradation.

Activity 1.1.3. Support to advance the development of FREL/FRL for REDD+ activities of conservation and sustainable management of forests

EBBF will support the development of a FREL/FRL for the REDD+ activities of conservation and sustainable management of forests by developing technical documentation and a methodology. This will include a technical document that identifies information gaps related to these two activities, as well as a technical document that identifies overlapping concepts on conservation and sustainable management with the relevant sectors. This activity will also include the development of a methodology for estimating activity data and emission factors for these two activities. This will provide a methodological framework that allows for consistency in the data reported on emissions reductions generated by these activities. Its construction will involve defining in a participatory manner a set of technical considerations necessary for transparent, consistent, and accurate reporting.

Output 1.2: Strengthened technical and institutional capacities to ensure the environmental and social integrity and sustainability of EBBs

Peru has made significant progress to establish a national environmental and social management framework, underpinned by the social, environmental and governance (ESG) safeguards established to support REDD+ results-based financing, known as Cancun Safeguards. Through a country approach to REDD+ safeguards, Peru has interpreted Cancun Safeguards to unpack, contextualize and operationalize Cancun Safeguards in the context of the ENBCC and facilitate the consistent, coordinated and efficient monitoring and reporting on how the safeguards are being addressed and implemented in the context of the implementation of REDD+ actions. In doing so, the country approach to REDD+ safeguards is designed to guide the assessment of environmental and social potential risks and opportunities, and inform the consistent and coordinated monitoring and reporting on environmental and social performance of REDD+ actions, beyond its forest mitigation outcomes.

As outlined in its First Summary of Information (SOI) on how REDD+ safeguards are being addressed and implemented, for the period 2012-2019, Peru's country approach to REDD+ safeguards is the result of an analytical and an inclusive and participatory process led by MINAM and its partners, and draws on its environmental and social commitments and responsibilities under the Forest Investment Program (FIP) and the Joint Declaration of Intent -JDI with Norway and Germany. Anchored to Peru's national legal and governance structure, the country approach aims to ensure REDD+ actions in Peru minimize potential environmental and social risks associated to the implementation of REDD+ actions and promote the delivery of priority co-benefits. Adhering to Cancun Safeguards, and other relevant environmental and social management requirements and commitments applicable to Peru's REDD+ implementation and financing framework, REDD+ actions should be implemented in consistency with the core elements identified as a result of the national interpretation of Cancun Safeguards; see Table 9. Moreover, consistent the objectives of the ENBCC and the criteria for EBBs, and in adherence to REDD+ safeguards, REDD+ actions should promote positive priority co-benefits associated to the typology of REDD+ actions; see Table 2 above.

The REDD+ readiness process in Peru has been underpinned by a broadly participatory and multi-level process, including through a dedicated dialogue and participation platform (the Sub-technical Safeguards Committee, SCTS for its name in Spanish), bringing together representatives of indigenous peoples, NGOs, and relevant government actors. A stakeholder participation and engagement plan has been developed to facilitate and ensure full and effective participation in the design and implementation of REDD+ actions, including at small-scale and in the case of those to be supported by the EBBF. Similarly, REDD+ actions are required to demonstrate alignment with indigenous peoples' livelihood plans and the integrated management of indigenous territories when implementing REDD+ actions, in recognition to the role of indigenous peoples and other forest-dependent communities in the conservation of biodiversity, ecosystem services and cultural diversity, including in consistency with the Amazon Indigenous REDD+ (RIA, for its name in Spanish). The country has also established a Grievance and Citizen Attention Mechanism (MAC, for its name in Spanish), which serves as a national level REDD+ accountability mechanism to facilitate the reception

of concerns, enquiries and/or grievances from all relevant stakeholders in the context of the ENBCC and associated REDD+ actions. Moreover, while a Safeguards Information Module (MIS, for its name in Spanish) is complete MINAM has put in place a Safeguards Webpage as a means to disseminate information on REDD+ safeguards.

Despite the above, the operation of Peru's country approach to REDD+ safeguards in a way that enables Peru to manage, monitor, and report on how safeguards are being addressed and implemented in the context of REDD+ actions at the productive unit scale remains a challenge. Remaining analytical, technical, and institutional gaps towards a consistent, coordinated, and efficient assessment and monitoring and reporting on the environmental and social performance of REDD+ actions may hinder Peru's opportunities to access to a diversity of REDD+ results-based financing, for instance under voluntary carbon market standards as those supported by the Lowering Emissions by Accelerating Forest finance (LEAF) Coalition²⁴.

The EBBF will strengthen the technical and institutional capacities of MINAM and potential EBBs to ensure adherence with relevant REDD+ and EBB safeguards and to monitor and report on the environmental and social safeguards, integrity, and sustainability of the EBBs.

Activity 1.2.1: Develop and/or review of procedure, guidelines, and tools to support the screening, assessment, monitoring and reporting of potential social and environmental risks and impacts, and to ensure EBBs adherence with relevant REDD+ and EBB safeguards

Implemented by Profonampe, the EBBF seeks to contribute to strengthening Peru's REDD+ institutional framework and facilitate piloting the "nesting" of small-scale interventions under the national framework. To do so, the EBBF will provide specialized technical assistance and backstopping to MINAM in developing:

- REDD+ safeguards procedure and associated guidelines for EBBs to facilitate the screening, categorization, assessment, management, monitoring and reporting on environmental and social risks and impacts;
- Guidelines for the operationalization of EBB's accountability mechanism, aligned with the EBBF's Accountability and Grievance Mechanism and the MAC
- The revision of the EBBF's ESMS to ensure consistency in the screening, categorization, assessment, management, monitoring and reporting on environmental and social risks and impacts, at the facility level, as relevant.

Activity 1.2.2: Build technical capacities to ensure EBBs adherence with relevant REDD+ and EBB safeguards

Implemented by PROFONANPE, the EBBF will build the technical capacities of EBBs to ensure EBBs adherence with relevant REDD+ and EBB safeguards.

Utilizing the guidelines developed under activity 1.2.1 and those designed under the UN REDD+ program, this activity will involve the dissemination of the guidelines, accompanied by training sessions (3 per year) targeted to EBBs and the SCTs, as well as technical backstopping to EBBs throughout the EBB life-cycle.

Activity 1.2.3: Piloting of MINAM MIS and MAC

As aforementioned, a MIS is still under development and serves as a repository of safeguards information reporting from REDD+ actions in an interim manner. Noting PROFONANPE's role as the financial manager for the national REDD+ financial mechanism, and the importance of consistent reporting the environmental and social integrity and sustainability of REDD+ actions, this activity will provide technical assistance for the piloting of the MIS and MAC. This activity will involve:

²⁴ The LEAF Coalition aims to mobilize at least \$1 billion in results-based financing to rewards mitigation outcomes from national or subnational REDD+ programmes. Launched in April, 2021, LEAF's initial Call for Proposals received more than 30 proposals from jurisdictions from all regions, representing the world's largest tropical forests. <https://leafcoalition.org/>

- Set up of operational MIS that is linked to monitoring and reporting of sub-national REDD+ activities, including of small-scale REDD+ actions under the EBBF. This will be done through the adoption of necessary operating procedures and guidelines, and the set-up of technological solutions.
- Set up of operational MAC that is linked/accessible to sub-national REDD+ activities, including of small-scale REDD+ actions under the EBBF. This will be done through the adoption of necessary operating procedures and guidelines.
- Piloting of both MIS and MAC, and the generation of annual reports, which can inform national reporting on REDD+ safeguards, including the preparation of Peru's subsequent SOIs.

Activity 1.2.4: Knowledge generation and dissemination of lessons learned on environmental and social integrity and sustainability of small-scale REDD+ interventions consistent with REDD+ results-based financing landscape

In a key role in the national REDD+ implementation and financing mechanism, the EBBF will contribute to strengthening capacities at the EBB and national level and aims to generate relevant lessons to be replicated at a regional and global level.

This activity will include the development of three (3) thought-pieces (including case studies) to capture best practices and lessons learned in relation to: i) the set-up and operation of an integrated environmental and social REDD+ safeguards framework that enables the screening, categorization, assessment, management, monitoring and reporting on environmental and social risks and impacts of small-scale REDD+ interventions; and ii) opportunities and remaining challenges to nest small-scale REDD+ interventions under national REDD+ frameworks to enable direct access to results-based financing.

Project Activities under Component II: Amazon Eco Bio Business Facility (EBBF)

Component II of the EBBF is geared at the establishment and management of an Amazon EBBF providing technical assistance and capital seed investments for EBBs to support sustainable management and conservation practices in forest and agricultural landscapes, while contributing to Peru's national forest and climate change and EBB-related objectives, increase forest-economy contribution to Peru's GDP, attract private capital, consistent with the national REDD+ framework and the national regulatory framework for EBBs.

The facility will be established and managed under Profonampe's financial management. PROFONANPE, on behalf of the EBBF, will establish a dedicated account with GCF resources. The replenishment strategy of the facility will consist in the grant repayments and contributions from other donors, that will ensure its long-term sustainability. In addition, it is expected to potentially leverage resources from REDD+ results-based financing.

As an economic co-benefit, GCF-financed activities will contribute to the creation of green jobs opportunities. The EBBF will prioritize projects in areas affected by high deforestation rates, namely, Amazonas, San Martin, Loreto, Cusco, Puno and Madre de Dios. In the context of the present proposal, approximately 70% of the GCF resources sought under the present proposal will be channeled through two funding windows.

It is important to note how the EBB Financial Facility is the cornerstone of a larger knowledge management dynamic that seeks for forest conservation EBBs supported by actors such as private firms, the government and international cooperation entities. This includes serving as a platform not only to facilitate the investment environment, but also to develop concepts, match EBBs with impact investors, and provide assistance to EBBs to maximize investments and impacts as seen below.

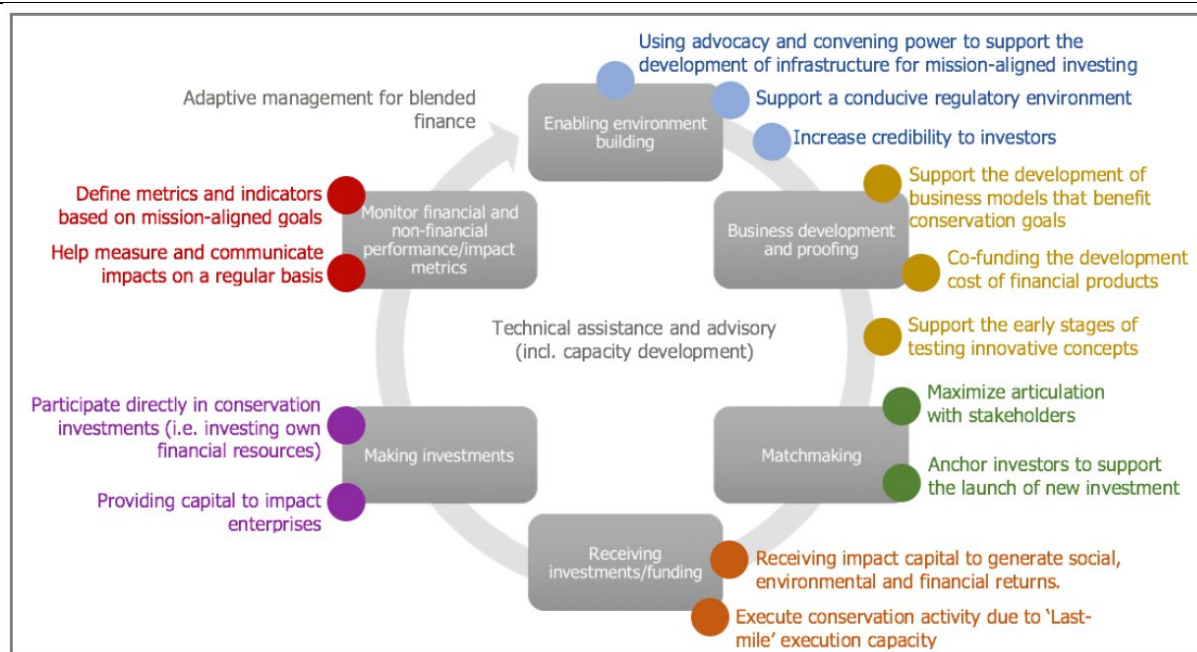


Figure 3. Component 2 overview

Output 2.1: Strengthened business case and productivity of EBBs

The EBBF will provide technical assistance and seed capital grant funding on a demand-driven basis to EBBs to crowd in private investments and generate lessons and experience to replicate and scale-up climate action in priority areas in Peru and possibly neighboring countries.

Activity 2.1.1 Establishing the Amazon Eco Bio Business Facility

Profonanpe will develop a framework for the establishment, operationalization and sustainable replenishment of the facility. Following the award notification, Profonanpe will proceed to open a dedicated account to ensure effective management and tracking of the GCF grant. The Project Team will lead the development of the EBBF strategy goals and objectives and replenishment strategy.

Activity 2.1.2 Operationalizing the Amazon Eco Bio Business Facility

The operationalization of the facility will be guided by the establishment of a Facility Management Unit (FMU) as well as will entail the revision and/or strengthening of the EBBF's Governance and implementation structure aligned with the financial mechanism governance already implemented in Profonanpe; the Environmental and Social Management System, and Operational Manual and other relevant analysis and operational instruments as relevant. The establishment and entry into operation of the Facility is responsibility of the FMU, including through an inclusive and gender-responsive process as defined in the EBBF's Stakeholder Engagement Plan and the Gender Action Plan.

Activity 2.1.3 Defining the replenishment strategy of the EBBF

The Financial Mechanism Board will provide strategic direction and approve the Facility's implementation and replenishment strategy to ensure its long-term financial, environmental, and social sustainability. The replenishment strategy will consist of multiple sources of finance, including potentially REDD+ RBP, the grant repayments to the EBBF, and other sources of international climate finance. The FMU will be responsible for the development and implementation of the strategy, including the development of EBBF communication and marketing materials, information memorandum, engagement with the government of Peru and finance providers.

Output 2.2: Increased investor appetite for EBBs

The EBBF provides technical assistance and seed capital grant funding on a demand-driven basis to EBBs to crowd in private investments and generate lessons learned. The EBBF will support an innovation partner offering technical assistance to EBBs in order to dynamize the interventions by covering all the regions of the project. EBBF seed funding will benefit a minimum of 55 EBBs during the first ten years of operation with an average volume of USD90,000²⁵

implemented and reported upon. EBBF seed capital will enable the implementation of blended finance solutions, whereby EBBF grants will improve the risk/return profile of selected EBBs to leverage private capital investments. Funding and technical support to female-headed enterprises with climate change mitigation missions is prioritized.

The grant funding amount to be provided will be based on a multi-tiered system that depends on the number of years the EBBs have been operational, as seen in the following figure. In this multi-tiered system, three categories have been defined; Early (with a minimum of 2 years of operation); Medium (with a minimum of 5 years of operation); and Advanced (with a minimum of 7 years of operation). Each category has a maximum grant amount at different repayment rates (25%, 50% and 65% for Early, Medium, and Advanced respectively). The repaid funds received from the repayment of the reimbursable grants to the EBBF will be reused following the same procedures as for the initial grant award.

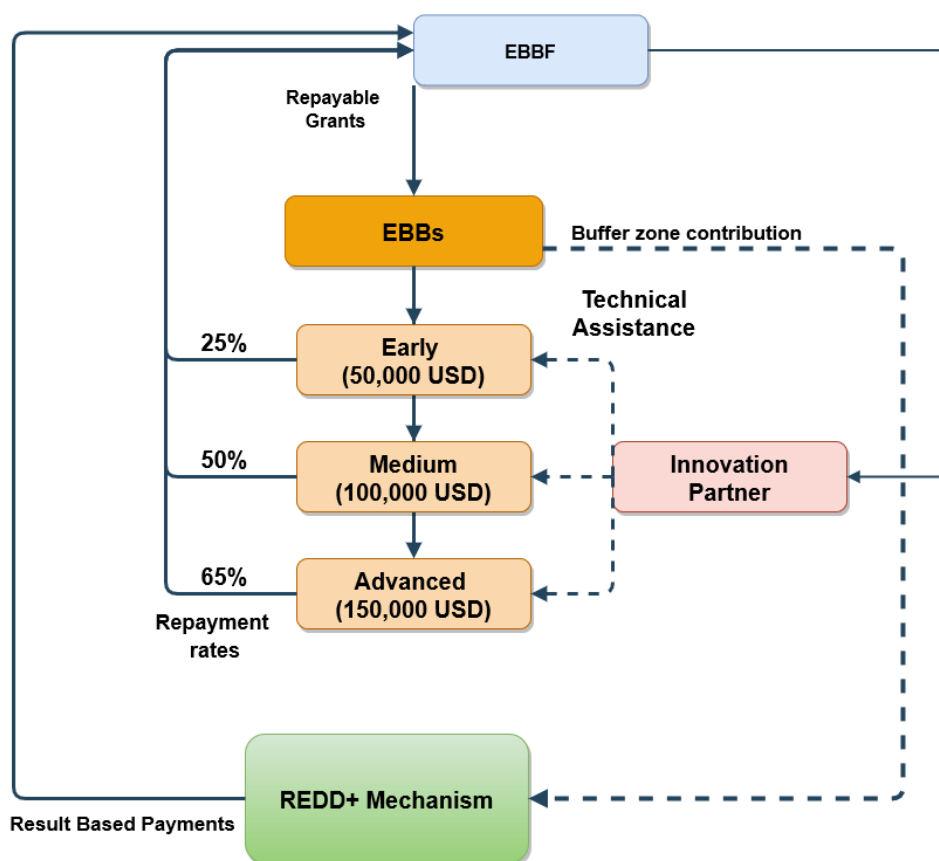


Figure 4. EBBF grant funding

Activity 2.2.1: Technical Assistance Window 1

Under this window, the EBBF will provide specialized technical assistance to Peruvian EBBs through an innovation partner, which is NESsT, an organization with outstanding experience investing in impact companies that generate decent jobs and income for people in a situation of vulnerability. NESsT has supported 14,000 organizations in 55 countries to assess, identify, and develop sustainable business models.

NESsT's support includes working with partners to identify sources of financing. One key source of financing is the NESsT Fund, which provides loans to social enterprises. NESsT works with companies in their incubation programs to prepare them to apply to the NESsT fund. NESsT also has strong relationships with a range of other sources of finance.

As a result, NESsT estimates that 80% of the enterprises they work with through their incubation program manage to secure financing, whether from NESsT or other sources.

The terms of reference developed by NESsT for window 1 must be coordinated and approved by the FMU.

40 EBBs will receive capacity building and technical assistance across key capacity gaps identified in the market assessment, including bureaucratic, managerial and access to market barriers, and REDD+ topics. All these activities will consider the Gender Action Plan.

Out of the 40 EBBs supported through technical assistance window 1, it is estimated that 20 EBBs can apply successfully to window 2 in order to receive the grant. NESsT will also support the transition from window 1 to window 2 for a pre-selected number of EBBs, depending on their investment readiness status.

Table 5. Window 1 characteristics and methodology

Window 1: Technical Assistance			
Purpose: To address capacity gaps of early-stage eco bio business enterprises			
Scope	☐ Incubation and acceleration programme tailored to bio business needs ☐ Budget: USD 742,293 in the first round and subsequent rounds dependent upon appropriate funding from the EBBF ☐ Duration of funding window: 3 years ☐ Expected implementation years: In the second year after the operationalization of the EBBF and subsequent rounds will be discussed within the FMU		
Activities	☐ Definition of call for proposals' terms of reference ☐ Adaptation of the application platform ☐ Definition of communication plan and dissemination of the call ☐ Evaluation of application forms and selection of winners ☐ Development of training modules ☐ Investment Memorandum Preparation ☐ Site visits for 25 EBBs ☐ Support to transition from window 1 to window 2 for a pre-selected number of EBBs ☐ Support to EBBs for seeking and securing additional sources of finance		
Technical Assistance to EBB	☐ Concept evaluation and validation ☐ Business planning and support including personalized consultations on an as-needed basis ☐ Market assessment ☐ Tech verification ☐ Engineering and analytical services ☐ Capacity building for EBBs on REDD+ regulations, monitoring and safeguards as well as network development		
Methodology			
Phase	Duration	Objective	Process

Selection and Development of Growth Business Model	Months 1-6	To select EBBs that meet EBBF criteria; to help these finalists assess business growth opportunity and develop growth model and plan.	1. Work through other actors to identify pipeline: universities, impact investors, accelerators, Bioinvest Project, Bioeconomy Fund, corporations with shared value programs and other intermediaries and networks, NESsT Portfolio / Alumni / exited SEs- in the sector to identify existing enterprises
			2. Organize Call for Applications inviting enterprises to apply to the program.
			3. Assess Application form and define selection criteria Complementary criteria examples: Management Team, Enterprise Performance & Potential to Meet Business Goals, Impact Performance & potential to meet impact goals, NESsT & EBBF Value Added
			4. Instruments & activities: Conduct Interviews / site visit for the selected candidates. Individual one-on-one support for the ones passing the interview stage, iterative business planning or canvas generation process (if needed), with design thinking and user validation (lean canvass) methodology; might be longer if tech prototyping & testing would be needed.
Onboarding	Month 7	Invite enterprises to enter the portfolio and launch relationship built on trust with clear partnership goals and indicators; enterprise goals and indicators, and plans for achieving them.	1. Prepare and sign the Memorandum of Understanding. Share communications plans and branding materials.
			2. Train the enterprise in the performance metrics and establish goals and indicators; as well as reports to be completed.
			3. Develop the action plan addressing key business assistance areas (as identified in the Investment Memo). Roles of NESsT Team, Mentors/Implementing Advisors and other External Mentors/Advisors are defined.
Validate & Consolidate the Growth Business Model	Months 8-20	Objective: Test the business model and refine it until it works. Ensure the team is consolidated Examples of Key indicators:	1. Incubation Training - Content examples (to be complemented with others prioritized with program partners):
			Module 1: Build and support the Management Team
			Module 2: Strategic Development

		Team consolidated with clear roles & responsibilities Cost-revenue structure works Predictable delivery & sales delivery Business model validated Adopt metrics to manage the business & performance Track social & environmental impact	Module 3: Marketing and Sales	
			Module 4: Operations	
			Module 5: Product Development	
			Module 6: Human Resources	
			Module 7: Legal Support	
			Module 8: Risk Mitigation Plan	
			Module 9: Social and Environmental Impact	
			Module 10: Financial Management	
			Module 11: Investment Readiness and Raising Capital	
			Instruments:	
			Monthly meetings to discuss Progress on Action Plans	
			Regular coaching sessions	
			Monthly Implementation Sessions to focus on specific modules	
			Group workshops (in person or online) to train in specific skills	
			2. Advisory services: Coach / mentor support (Approximately 15 hours) Feedback, support, advice. Complemented by mutual evaluation.	
Prepare to Scale	Months 21-36	Objective: Prepare to scale a validated product/service and business model.	Tailored technical assistance and training (to be complemented with others prioritized with program partners): 1) Business Model and Enterprise Activity 2) Talent & Senior Management Team 3) Investment Readiness 4) Governance 5) Capacity building for EBBs on REDD+ regulations, monitoring and safeguards as well as network development Portfolio wide sessions (online) to share challenges and best practices	
			Example of key indicators: Achieve operational stability. Enhance the conditions needed for scaling.	Complementary and sector building activities. 1. Site visit for monitoring activities and selected workshops. 2. Portfolio Retreat bringing enterprises together for learning and networking.

3. Individual and group travel to position best case practices and fundraising purposes.

Activity 2.2.2: Awarding and implementing grants under investment window 2: Eco Bio Businesses

Under this investment window, the EBBF will provide seed capital to a minimum of 55 EBBs during the first ten years of operation with an average grant volume of USD 90,000 awarded, implemented, monitored, and reported upon. The Facility will promote the participation of women in the EBBs and will consider at least 40% of the selected EBBs to be led by women. This funding window will lead to the creation of 550 new jobs and 8,602 hectares of avoided deforestation. The EBBF will employ repayable grants in the form of seed capital to improve the risk/return profile of selected businesses and leverage additional investments, eventually, from national and international impact investors. Grant repayment will be tied to the maturity and revenue-generating potential of selected EBBs by varying levels of concessionality. They will repay to the Facility in the form of 20% annually at their respective repayment rates for 5 years approximately after the time that will be established in the agreements between Profonanpe and EBBs. Repaid capital will be reinvested in grants for new EBBs.

The varying levels of concessionality in the repayment rates for the different EBB categories are considered a benefit for EBBs (with an average value of the non-reimbursable portion equal to approximately USD 45,000).

In "Table 6: Grant Window 2", the scope, applicable cost categories, eligibility, and prioritization criteria for window 2 are shown. If an EBB meets all eligibility criteria, they can be scored out of 100 and ranked based on the weighted eligibility prioritization criteria outlined under the "Financial Sustainability and Operating Capacity" section.

It is worth noting that the eligibility and prioritization criteria should be revised during early implementation of the EBBF project, in the context of the establishment of the EBBF. Refining eligibility and prioritization criteria in a way that is compatible with the profile of potential EBB-beneficiaries will require additional mapping, scoping and feasibility assessments, all of which will inform the investment strategy of the Facility.

Table 6: Grant Window 2

Grant Window 2: Eco Bio Businesses	
Purpose: To generate climate change mitigation impacts and economic co-benefits by promoting increased flow of finance to eco bio businesses	
Scope	☐ Target: Eco Bio Business ☐ Sector: Private ☐ Grant size: USD 50,000 – 150,000 ☐ Grants repayment: 5 years ☐ Grace Period: 1 year ☐ 15% co-financing in cash or in-kind
Cost Categories	☐ Construction costs ☐ Personnel expenses ☐ Training, research and monitoring ☐ Small scale infrastructure, machinery and equipment ☐ Working capital ☐ Consumables ☐ Professional services for installation, planning, implementation and management ☐ Roadshows and marketing

	☐ Interest-rate buydowns/offsets ☐ Cash collateral with lender as debt service reserve account and/or first loss buffer														
Eligibility and Prioritization Criteria ²⁶	<table><tr><th>Eligibility criteria</th></tr><tr><th>Climate change mitigation potential and reduced deforestation</th></tr><tr><td>Forest emission reduction potential, including by type of REDD+ activity and location in areas with higher risk of deforestation. There must be a significant difference between forest emissions in the baseline scenario and the EBB scenario, and preferably a cost per ton of carbon avoided that does not exceed the current average market rate of approximately \$20 per ton. EBBs engaging in activities that will generate greater emissions reductions per dollar invested should be prioritized, particularly projects in deforestation frontier areas or EBBs engaging in agroforestry, which are predicted to have greater emissions benefits (refer to Annex 22b). Projects must not contribute to additional deforestation.</td></tr><tr><td>Forest carbon stock enhancement potential. There must be a significant difference between removals in the baseline scenario and the EBB scenario, and preferably a cost per ton of carbon removed that does not exceed the current average market rate of approximately \$20 per ton.</td></tr><tr><td>Potential contribution and alignment with the national REDD+ framework (preferred: alignment with the typology for REDD+ actions and location in areas with high risk of deforestation)</td></tr><tr><th>Environmental integrity and sustainability</th></tr><tr><td>Potential to contribute to environmental sustainability, including strengthening ecosystem resilience, provision of ecosystem services, and biodiversity conservation (preferred: Contributes to the conservation of ecosystem services and biodiversity that contribute to the livelihoods of indigenous peoples of the Amazon, Andean and coastal regions and contributes to restoring forest ecosystems and biodiversity)</td></tr><tr><th>Social integrity and sustainability & gender equity</th></tr><tr><td>Promote the engagement and participation of local stakeholders (preferred: local stakeholders and end-beneficiaries have full and effective participation in EBBs, including in the design, implementation and distribution of benefits)</td></tr><tr><td>Promotes the respect of the rights of property, access and use over land and resources (preferred: ensures legal rights to use / manage the land and resources where the EBBs will operate)</td></tr><tr><td>Promotes sustainable local development (preferred: promotes the diversification of local livelihoods, including through the generation of green jobs)</td></tr><tr><td>Enhance the resilience of local livelihoods (preferred: contributes to food security, enhances socio-economic resilience and/or strengthens local governance)</td></tr><tr><td>Promotes the conservation of traditional practices (preferred: integrates traditional knowledge/practices in its operations and contributes to their conservation)</td></tr><tr><td>Promotes the participation of women in the design, implementation and benefits of EBBs²⁷ (preferred: integrates positive actions to address the gender gap in EBB and ensures women have full and effective participation in EBBs, including in the design, implementation and distribution of benefits)</td></tr></table>	Eligibility criteria	Climate change mitigation potential and reduced deforestation	Forest emission reduction potential, including by type of REDD+ activity and location in areas with higher risk of deforestation. There must be a significant difference between forest emissions in the baseline scenario and the EBB scenario, and preferably a cost per ton of carbon avoided that does not exceed the current average market rate of approximately \$20 per ton. EBBs engaging in activities that will generate greater emissions reductions per dollar invested should be prioritized, particularly projects in deforestation frontier areas or EBBs engaging in agroforestry, which are predicted to have greater emissions benefits (refer to Annex 22b). Projects must not contribute to additional deforestation.	Forest carbon stock enhancement potential. There must be a significant difference between removals in the baseline scenario and the EBB scenario, and preferably a cost per ton of carbon removed that does not exceed the current average market rate of approximately \$20 per ton.	Potential contribution and alignment with the national REDD+ framework (preferred: alignment with the typology for REDD+ actions and location in areas with high risk of deforestation)	Environmental integrity and sustainability	Potential to contribute to environmental sustainability, including strengthening ecosystem resilience, provision of ecosystem services, and biodiversity conservation (preferred: Contributes to the conservation of ecosystem services and biodiversity that contribute to the livelihoods of indigenous peoples of the Amazon, Andean and coastal regions and contributes to restoring forest ecosystems and biodiversity)	Social integrity and sustainability & gender equity	Promote the engagement and participation of local stakeholders (preferred: local stakeholders and end-beneficiaries have full and effective participation in EBBs, including in the design, implementation and distribution of benefits)	Promotes the respect of the rights of property, access and use over land and resources (preferred: ensures legal rights to use / manage the land and resources where the EBBs will operate)	Promotes sustainable local development (preferred: promotes the diversification of local livelihoods, including through the generation of green jobs)	Enhance the resilience of local livelihoods (preferred: contributes to food security, enhances socio-economic resilience and/or strengthens local governance)	Promotes the conservation of traditional practices (preferred: integrates traditional knowledge/practices in its operations and contributes to their conservation)	Promotes the participation of women in the design, implementation and benefits of EBBs ²⁷ (preferred: integrates positive actions to address the gender gap in EBB and ensures women have full and effective participation in EBBs, including in the design, implementation and distribution of benefits)
Eligibility criteria															
Climate change mitigation potential and reduced deforestation															
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Promote the engagement and participation of local stakeholders (preferred: local stakeholders and end-beneficiaries have full and effective participation in EBBs, including in the design, implementation and distribution of benefits)															
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Promotes the participation of women in the design, implementation and benefits of EBBs ²⁷ (preferred: integrates positive actions to address the gender gap in EBB and ensures women have full and effective participation in EBBs, including in the design, implementation and distribution of benefits)															

These criteria are consistent with the *General* Guidelines for the identification and promotion of eco and bio businesses (Ministerial Resolution N° 046-2020-MINAM).

²⁷ This includes zero tolerance for all forms of Sexual Exploitation, Sexual Abuse and Sexual Harassment – SEAH in EBBs activities.

Paradigm shift potential and replicability	
Potential for replicability in other regions and with the crowd-in of the private sector sources (preferred: incorporates positive actions to ensure replicability of EBBs)	
Eligibility criteria	Prioritization criteria
Financial Sustainability and Operating Capacity (Max score of 100)	
The project has a feasibility study already completed or in progress (which could be in the way of a financial or business model, breakeven point analysis or a Minimum Viable Product). (Max 10 points)	Repayment capacity sustained by the project feasibility study, credit history or accumulated sales or co-financing from a third party of private financier (The repayment capacity will be evaluated and assigned a maximum score of 70 points)
Verifiable credit history in good standing or unmodified audited financial statements for the past year (Max 10 points)	Expected impact of the investment
A minimum of accumulated sales equal to the value of the repayable grant to be given in the last 12 months (Max 40 points)	Repayment capacity supported by credit history
The project has received an expression of interest from a third-party investor/financier (Max 10 points)	
At least 2 years of operation in EBB activities and at least one of legal constitution in the public registries (minimum requirements)	Expected impact of the grant in the operation/ financial indicators of the project (The expected impact of the grant will be evaluated and assigned a maximum score of 30 points)

Activity 2.2.3: Establishing and managing EBBF investors roundtable

The EBBF will invest approximately USD 4.7 million across 55 EBBs during its first ten years of operation, which could also support the mobilization of commercial capital from other sources of capital, specifically from impact investors. The EBBF FMU will establish and maintain an Investors Roundtable (IR) composed of a broad base of national and international investors. The IR will serve as a platform connecting investors and EBBs, developing relationships, and identifying investment opportunities and collaborations. The IR will gather investment executives from national and international investment institutions and will hold meetings each year. The IR will provide support for the participating investors to initiate, implement, and expand innovative collaborations. The EBBF FMU shall maintain the IR by organizing meetings, sharing project data rooms, and facilitating connections. These activities will be developed with support of NESST, based on the experience and development of impact investors in its investment fund. The eligibility criteria for the investment institutions that participate in the IR are mainly related to the investment interests, where social or environmental criteria are more important than financial return and when possible, for the institutions to accompany and strengthen capacities in impact-generating organizations.

Activity 2.2.4 Development and managing strategic partnerships

Peru is home to several complementary sources of finance for the types of enterprises to be supported under this project. These include impact investors as well as other public and private funding sources. During consultations to inform the development of the present funding proposal, several of these were consulted. Results of these consultations can be found in Annex 28.

The FMU will work to establish ongoing partnerships with key impact investors to encourage financing of the EBBs. These partners will form a Private Sector Advisory Committee (PSAC). They will be invited to provide inputs into the design and composition of meetings of the investors roundtable and requested to publicize the roundtable and share

information on EBBs with their networks. The table 7 below uses the GCF-sponsored Amazon Bioeconomy Fund (ABF) and the IDB-sponsored Biobusiness Program (both operated in large part by COFIDE in Peru) as an example of how these partnerships may be structured and what the expected benefits are.

Table 7: Linkages of EBBF with ABF and Biobusiness program

Linkage		Benefits	Operationalization
1	EBB Identification – Profonanpe and COFIDE can share leads of EBBs	Reduced business development expenses and increased process efficiency	Data sharing agreements, screening tools developed for determining program eligibility and regular BD team check-ins.
2	Pooling in TA funds – For EBBs that satisfy both Biobusiness Program or ABF and EBBF eligibility criteria	Eligible EBBs identified by ABF/Biobusiness Programs that have demonstrable REDD+ linkages with would receive incremental training from NESsT on REDD+ matters. Similarly, EBBs identified by EBBF would receive TA from Biobusiness Program beyond REDD+. This way EBBF TA funds could be limited to focusing on REDD+ linkages while leveraging other TA resources to improve overall business capacity. This should increase number of EBBs supported by EBBF.	Data sharing agreements and coordination of training schedules and materials from TA providers for Biobusiness Program and EBBF.
3	Streamlined access to finance	Eligible EBBs identified the EBBF could have streamlined or priority access to financing offered by the ABF and BioBusiness Program, provided they meet financing eligibility criteria.	Data sharing agreements and project finance templates that the EBBF can use to streamline information provided to ABF or BioBusiness Program regarding EBBs. COFIDE could include additional scoring points for EBBs that have been certified by EBBF as having positive REDD+ impact.
4	Improving financing terms (more details in section 3.4.3)	Eligible EBBs identified and primarily mentored by EBBF would have access to any risk reduction mechanisms put in place by ABF or Biobusiness Program. Similarly, any EBB receiving financing from ABF or Biobusiness program that has demonstrable REDD+ impact will receive interest rate offset grants (also known as interest rate buydowns) to increase profitability and decrease financial risk for borrower and lender.	MoU related to access to risk reduction mechanisms, interest rate offset grants and associated eligibility criteria.

Please refer to section 3.4 in Annex 2 Feasibility study for more details on type of strategic partnerships envisioned with the financial sector with using the GCF-sponsored Amazon Bioeconomy Fund (ABF) and IDB-sponsored Biobusiness Program as examples.

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

1. Governance Mechanism and Implementation Structure

As a financing facility designed to enable small EBB's direct access to GCF financing through repayable grants, EBBF will be implemented by a Facility Management Unit (FMU), under the strategic direction of the Board of the REDD+ Financial Mechanism. The REDD+ National Financial Mechanism is conceived as the means through which the country channels, administers and manages resources from different non-public sources for the implementation of initiatives, programs and/or projects that correspond to each of the three phases of REDD+. As mentioned before, Profonanpe is the administrator of this Mechanism, and plays the role Technical and Financial Secretariat.

The Financial Mechanism Board will be composed by a diverse range of stakeholder representing key interest groups in relation to REDD+, it includes national and subnational government representants, amazon indigenous people representants and private sector. Designated members of the Board will provide strategic direction and decision-making over the overall execution of the project and the management of the facility.

Specific roles and responsibilities regarding the EBBF Board will include:

- Providing strategic direction and oversee the overall execution of the project, including the management of the facility.
- Overseeing the adherence of the EBBF with applicable national policies and regulations and consistent with the national REDD+ framework, Profonanpe's institutional policies, and those under relevant financing entities, including the GCF.
- Ensuring participatory, democratic, impartial, and transparent procedures for the operation of the facility,
- Reviewing the reports in relation to the execution of the project and management of the facility.
- Approving the selection of projects in accordance with the Terms of Reference for Call for EBB Proposals, based on eligibility and prioritization criteria elaborated by the FMU.
- Participating of periodic field visits to EBBs as part of the monitoring of the operation of the facility.
- Supervising that there are no conflicts of interest in the selection of subprojects decision-making.
- Providing opportunities for regular communication with relevant stakeholders, including in the context of the redress and accountability mechanism of the facility.

Profonanpe (DAE): As the DAE and recipient of GCF grant PROFONANPE will be responsible for the overall implementation, supervision and monitoring of the Project. PROFONANPE's roles and responsibilities include:

- Implementation of the Project activities
- Facilitate Board meetings.
- Monitor and ensure the project and the facility's subprojects compliance with the GCF's policies and conditions under the Accreditation Master Agreement (AMA) and Funded Activity Agreement (FAA), including with the environmental and social safeguards and relevant policies.
- Conduct the procurement of goods, works, and consulting services on behalf of the PFMU.
- Disburse GCF's grant proceeds.
- Elaborated project accounts and financial statements and the overall report to GCF.

Facility Management Unit

The FMU team will be composed by an EBBF project manager, a portfolio manager – innovation partner, a monitoring specialist, a social and gender specialist, and an environmental specialist. As the ultimate responsible for day-to-day project execution and management of the facility, the FMU is responsible for the implementation of all project activities, including procurement of consultants/service providers, financial management, monitoring and evaluation, reporting, overall quality assurance, and safeguards compliance.

At the facility-level, the FMU is responsible for:

- Development of the EBBF's Operational Manual
- Elaboration of reports for the Board
- Portfolio-wide monitoring and reporting
- Ensuring compliance with PROFONANPE's Procurement Rules, and Environmental and Social Safeguards, and oversight of the implementation of the Environmental and Social Management System at the project and facility level
- Preparing fund-level progress reports
- Developing Terms of Reference for calls
- Monitoring project cash flows
- Reviewing audited project accounts and financial statements
- Oversight and operation of the EBBF's accountability mechanism, as appropriate

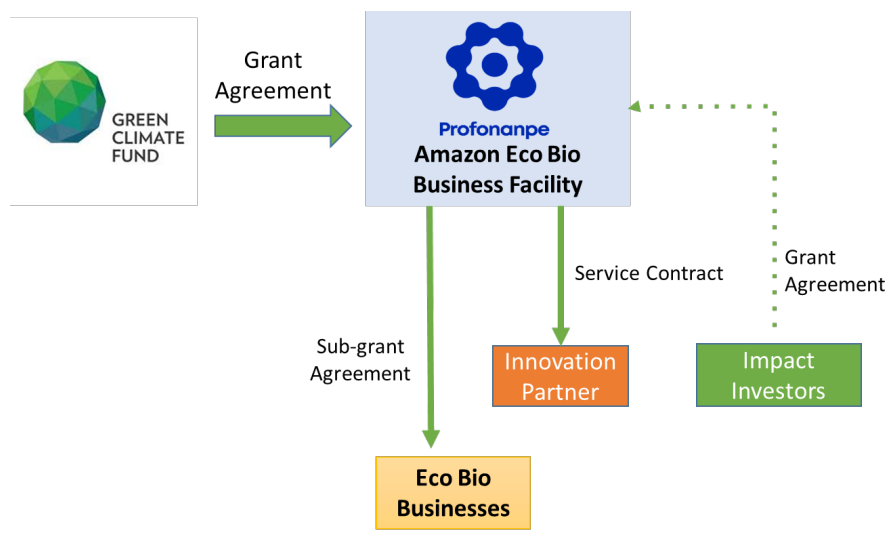
At the project-level, the FMU is responsible for:

- Project identification and review
- Conducting review missions and site visits
- Negotiation of the investment agreement
- Providing technical assistance and backstopping, and monitor EBB's Environmental and Social Monitoring Plans and adherence with relevant safeguards
- Oversight and assistance in the EBB's accountability mechanism, as appropriate

Implementing Partner

NESsT will act as implementing partner (contractor) of the EBBF. As the EBBF's Innovation Partner, NESsT will provide specialized technical assistance to expand, upscale, and support technical improvements for up to 40 EBBs focused on forest-based products and services.

See below the main contractual arrangements



2. Operations of the EBBF

Grant Appraisal Procedure: The EBBF will publicly advertise “call for proposals” once in a year starting six months after the project launch. This will be done through print media, MINAM’s and PROFONANPE’s websites and social media account and MINAM Eco & Bio Negocios network and will run for at least 60 days. The FMU staff will assume the primary responsibility for receiving and processing all grants applications. The FMU team will process all applications received as follows:

- Issue acknowledgments of receipt to applicants and record all applications onto the prescribed register
- Perform administrative and technical pre-screening of applications (for completeness and eligibility)
- Conduct the Environmental and Social Safeguards and Gender Assessments on screened applications

- Communicate with applicants as necessary on queries or shortcomings
- Prepare and present Project Technical Document to EBBF approval structures.
- Implement decisions of the said approval structures (approvals, declines and refer backs) as prescribed in the Operations Manual. This will also involve communicating and corresponding with applicant as necessary
- Negotiating contracting terms and performance measures with successful applicants
- Prepare grant agreements for signature

The FMU will review the Project Technical Documents and confirm or reject the recommendations. After reviewing the proposals, the FMU is entitled to make one of the following decisions: a) decline, b) refer back for improvement, or c) accept for further processing. The FMU will present the final list to the Board for the approval. The eligibility and prioritization criteria are outlined in Table 6.

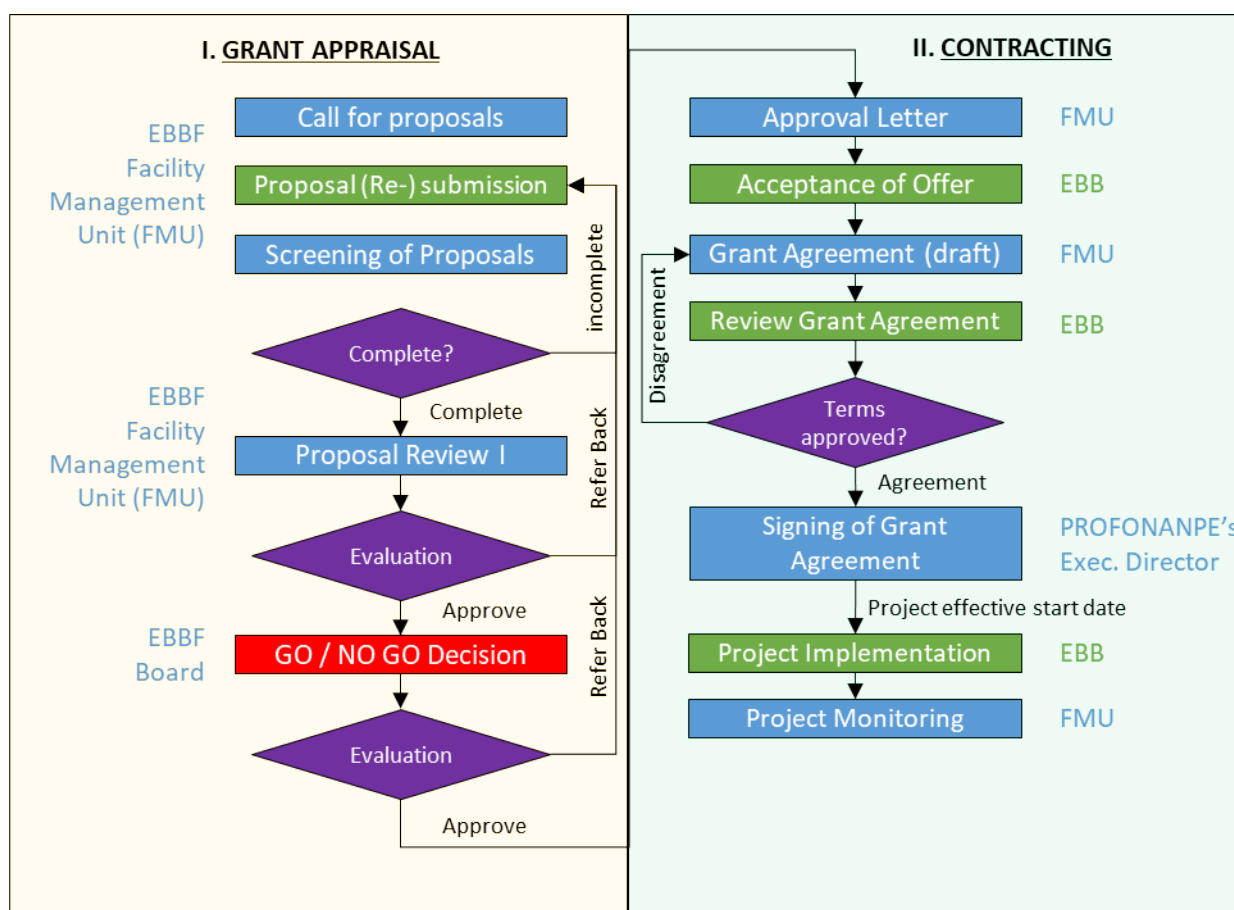


Figure 5. Schematic illustration of the grant appraisal and contracting procedures

Contract Management: Successful grant applicants will be receiving a comprehensive grant agreement. Contracting procedures will detailed in Facility's Operational Manual. Applicants will be issued with an offer. After receiving legally valid acceptance letters, the EBBF FMU will prepare draft grant agreements with input from PROFONANPE's legal team. The FMU will also be involved in the process to assist with developing, negotiating and agreeing on realistic, practical, and measurable performance indicators and terms for the grant repayment. After clearance by the Portfolio Manager, applicants will be provided with copies of the draft grant agreements for their review and comments. Once agreement is reached on the content and terms, the FMU will prepare the contracts with all supporting documents for signature with the authorized beneficiary representative.

3. Accountability mechanism

PROFONANPE, as the DAE for the EBBF and in a central role for the management and operation of the Facility - including in its financial management role under the national REDD+ framework, has in place a web-based grievance

and accountability mechanism²⁸ to receive grievances, complaints and suggestions from all relevant stakeholders, and which will serve as the accountability mechanism for the EBBF.

As established in the EBBF's SEP, EBBs will have in place an accountability mechanism for receiving and addressing complaints, claims and suggestions from EBB end-beneficiaries and other relevant stakeholders, consistent with the EBBF's accountability functions and PROFONANPE's grievance and accountability mechanism, as per its Stakeholder Engagement Plan (see FP Annex 7).

It is worth noting that as part of Peru's national REDD+ framework, MINAM has established a Grievance and Citizen Attention Mechanism (MAC, for its name in Spanish). The MAC fulfills an accountability function to facilitate the reception of concerns, enquiries and/or grievances from all relevant stakeholders, underpinned by the national Strategy for Improved Citizen Attention. As part activities conceived under Component I, the EBBF will facilitate the alignment between the EBBF and EBBs accountability mechanisms under the umbrella of the MAC to ensure a systematic and comprehensive grievance redress and accountability system for all REDD+ actions in Peru.

B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

REDD+ Mandate with Climate Change Law: With the advent of the new Climate Change Law and its regulation, MINAM has an extended mandate for REDD+ implementation. While international financing has provided significant support for fundamental components, important elements related to monitoring and safeguards are required to create the link to attract private financing sources for sustainability of productive forest initiatives. With regard to institutionality, the National Strategy for Forests and Climate change provides an overall REDD+ framework that links Peru with international financing sources to fund crucial REDD pillars. These include the PMR, FCPF, Moore Foundation and others. At the national level, REDD+ strategy elements are making progress in the form of public policies such as the NAMAs in coffee, cocoa and other forest activities that seek to promote sustainable forest management. At the subnational level, regional governments are developing and implementing Regional Climate Change Strategies and Regional Low Emission Development Strategies for sustainable land use practices and forest management. With respect to safeguards, the public web portal²⁹ has relevant information whose progress to date that aligns Peru's safeguard process with international standards³⁰. In order to link Results Based Payments to a dynamic of private investment in forest activities, GCF funding is required to support the design and upscaling of EBBs and putting in place the enabling conditions to nest EBBs under the national REDD+ framework. Moreover, consistent with the national REDD+ results-based implementation and financing mechanism and EBB national regulation, the EBBF will play a key role to piloting the operation of the REDD+ financial mechanism to transfer REDD+ based finance to support small-scale interventions at EBB level.

New asset class with limited access to finance: As an asset class, investments in forest-based companies in Peru is still largely unknown, especially among private investors. PROFONANPE, with GCF support, wishes to establish an Amazon EBBF to act as anchor investor to demonstrate confidence in this new asset class and crowd in private capital investments. Peru has experienced very few investments in forest-based companies despite their promising business models and climate change mitigation potential. GCF has a vital role in bringing scale to the Amazon EBBF and thus multiplying the impact PROFONANPE is seeking to deliver. An investment by GCF, leveraged with Peru's REDD+ RBP will secure the long-term sustainability of the facility and unlock the appropriate anchoring amount needed to leverage private capital at scale.

Crowding in private capital: forest-based companies have seen only little investment to date. Despite offering attractive risk-adjusted returns and significant impact potential, private and public investors have been reluctant to invest for different reasons, including the sector being at a nascent development stage and high perceived operational or country risks. The proposed financing structure foresees GCF to capitalize the Amazon EBBF to catalyze further co-investments at the fund-level – by PROFONANPE and MINAM– and project-level by national and international impact investors. Two mechanisms for facilitating mobilization of private investments are the annual investor roundtables and the potential for entering into strategic partnerships with other sources of capital including the IDB-sponsored Program

²⁸ <https://profonanpe.org.pe/quejas/>

²⁹ <http://www.minam.gob.pe/cambioclimatico/salvaguardas-redd/>

³⁰ This includes the Strategic Environmental and Social Assessment framework of the Inter-American Development Bank

to Promote Sustainable Financing in the Peruvian Amazon Region: Opportunity to Leverage Biobusinesses (Biobusiness Program) and the GCF-sponsored Amazon Bioeconomy Fund. EBBs who receive financing interest from a mission-aligned financier will have the ability to structure the repayable grant under window 2 as credit enhancements or interest rate buydowns. Such schemes will lead to a positive feedback loop whereby a growing number of successful EBBs will support the implementation of REDD+ result-based-payments which, in turn, will replenish the facility allowing the support of even more EBBs and the leveraging of more private investments.

Multiplying effect of GCF investment: GCF investment will mobilize additional capital in two ways. On one side, the Eco Bio Business Facility will typically not be the sole investor in the EBBs, but provide financing alongside other sources, such as impact investors and the EBBs themselves. The former is represented by the 15% of co-financing (in cash or in-kind) that is asked of EBBs to apply for the grants. On the other side, PROFONANPE, given its experience in fundraising funds, is expected to increase the investment of the Facility, leveraging resources from other international sources like donors or impact investors. At the moment Permian Global has committed to the EBBF (see annex 29) as a potential investor for an amount no less than US\$ 20 million in the form of direct equity investments as well as credit lines and small grants that could be deployed on a case-by-case basis. Furthermore, its business model also contemplates options for providing advance payments to their partners and beneficiaries of their projects.

Finally, the EBBF would be one of the first funds in the region to solely invest in forest-based companies with the potential to spark follow-on investments by creating more track records for EBBs as an asset class and by reducing perceived risks.

Barriers of entry: forest-based companies are known to achieve their highest mitigation impact after 5-10 years from their establishment. For this reason, the cash flow profile of greenfield investments creates barriers to significant investment in the sector. Greenfield EBBs require significant upfront investments, but only start generating positive cash flows after several years. This stretched-out cash flow profile puts the financing structure of a greenfield project in stark contrast with the investment criteria of most investors which seek short-term risk-adjusted returns. Hence, greenfield EBBs projects are not bankable for conventional debt financing and thus in dire need for flexible and patient equity or grant financing, such as the repayable grants contributed by the Amazon EBBF. To ensure a proper diversification of risk and replenishment of funds, the EBBF shall diversify across EBBs in different stage of maturity (i.e., early stage, mid stage and late stage).

Climate change mitigation efforts: Peru's mitigation strategy has yet to take full advantage of REDD+ and forest-based businesses. Examples from other countries in the region demonstrate that forest-based projects when implemented with high environmental and social standards provide significant mitigation. In addition, these companies contribute to the overall shift towards truly sustainable production methods away from intensive practices. GCF's involvement in this sector is critical in bringing it to the forefront of the battle against climate change. GCF's involvement will also provide the EBBF with further credibility, which is likely to support future fundraising efforts. A GCF contribution can serve as a stamp of approval and ensures adherence to highest ecological and social standards as well as clear climate targets. From the perspective of the EBBF's fund-raising strategy, GCF funding can support the positioning and marketing of the facility to new and diverse providers of finance

B.6. Exit strategy (max. 500 words, approximately 1 page)

Local Ownership through Enhanced Direct Access: In line with the objectives of the GCF EDA modality, the EBBF will enable EBBs to directly access climate finance. The EBBF will be fully aligned with the GCF in terms of their objectives and investment criteria while allowing for maximum responsiveness to national and, particularly, local priorities. In contrast to a pre-determined top-down funding approach, the proposed approach of self-determined local adaptation through a grant facility is expected to:

- Respond directly to local needs, vulnerabilities, and opportunities,
- Create local awareness towards climate change and ownership of the climate change response, and thus
- Be sustainable beyond the period of direct financial support.

Possibility for self-sustainability of the Amazon Eco Bio Business Facility: The Amazon EBBF will be established as an open-end fund. The facility will be initially established and capitalized with GCF's and PROFONANPE's resources. However, the project contains measures for self-sustainability. From Annex 3 (Financial Analysis) it is expected that initially 55 EBBs will be supported during the first ten years of operation. Subsequently, depending on

the sources of finance the grant repayments, the EBBF will be able to support up to 88 EBBs over 20 years of operation (only considering the grant repayments at the designated repayment rates) or up to 115+ EBBs (if the EBBF secures additional funding sources such as the REDD+ RBP).

The Facility's long-term sustainability will be sought via the following sources of finance:

- Grant repayment: EBBF's seed capital investments take the form of repayable grants with a multi-tiered system for which different repayment rates are established as mentioned in section B.3. Grants shall be repayable in five years plus a year of grace period after disbursement.
- REDD+ results-based payments (RBPs): in total, non-market approaches under the JDI could potentially account for up to USD ~250 million for the coming years. EBBs supported through the EBBF -after the grant repayment period- could be eligible to apply to the REDD+ mechanism, according the procedure that will be established by MINAM. The EBBs can make use of their REDD+ contributions for self-income generating capacities. Government of Peru allocations: The project establishes a model for enhanced direct access by EBBs to climate finance. In doing so, it provides a platform for the Government of Peru and the Ministry of Environment to allocate domestic resources currently allocated to other, less-effective, initiatives. This will however depend on the impact and results of the project to influence policy and decision making.
- Government of Norway: In addition to investment in the JDI and the promotion of agroforestry concessions to reduce deforestation in Peru, the Government of Norway is also investing in a program to support EBBs in Colombia. To this end, a programmatic synergy may exist to attract possible investment in technical assistance or other financial support for EBBs in Peru.
- Amazon Bioeconomy Fund: There are several windows of technical assistance and market facilitation windows available under the GCF-sponsored Amazon Bioeconomy Fund which could provide complementary funding especially for Component 2.
- Permian Global commitment to the EBBF (see annex 29) as a potential investor for an amount no less than US\$ 20 million in the form of direct equity investments as well as credit lines and small grants that could be deployed on a case-by-case basis. Furthermore, its business model also contemplates options for providing advance payments to their partners and beneficiaries of their projects.

Self-sustainability of EBBs after grant support: It is expected that after providing the grant support to the EBBs, they will be able to increase their capacity to access local or foreign markets, solve working capital and operational restrictions they may have and scale up their production capacity and efficiency. Furthermore, it is expected that some of the grant support will be used to leverage additional private sector capital through mechanisms such as interest rate buydowns or first-loss buffers. This will enable EBBs to access additional financing sources.

Pilot nature of the Proposed Project: The proposed EDA Project constitutes a first-of-its-kind, not only in Peru, but also internationally. Enhanced direct access to climate finance is a new strategy unique to the GCF and as such still in development. The proposed project therefore constitutes a pilot which has a strong learning component for Peru, impact investors and the GCF. Even if not all elements of the proposed EDA project may be self-sustainable after project end, corresponding lessons will be learned for the design of a full-scale EDA program with stronger elements of self-sustainability. The evaluation of the project impact and sustainability will provide valuable lessons to maximize the value of the future similar projects.

C. FINANCING INFORMATION						
C.1. Total financing						
(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)	Total amount			Currency		
	10			million USD (\$)million USD (\$)		
GCF financial instrument	Amount	Tenor	Grace period	Pricing		
(i) Senior loans	0	0 years	0 years	0 % 0 % equity return		
(ii) Subordinated loans	0	0 years	0 years			
(iii) Equity	0					
(iv) Guarantees	0	0 years				
(v) Reimbursable grants	0					
(vi) Grants	8,972,400					
(vii) Results-based payments	0					
(b) Co-financing information	Total amount			Currency		
	1,027,600			million USD (\$)million USD (\$)		
Name of institution	Financial instrument	Amount	Currency	Tenor & grace	Pricing	Seniority
PROFONANPE	GrantGrant	0.750	million USD (\$) million USD (\$)	NA years NA years	NA%	Options
PROFONANPE	In kindIn kind	0.250		NA	NA	NA
Ministry of Environment	In kindIn kind	0.027		NA	NA	NA
(c) Total financing (c) = (a)+(b)	Amount			Currency		
	10,000,000			million USD (\$)million USD (\$)		
(d) Other financing arrangements and contributions (max. 250 words, approximately 0.5 page)	The in-kind contributions from PROFONANPE include staff costs and IT equipment. Similarly the in-kind contributions from MINAM include staff costs. For more details on the in-kind contributions please refer to Annex 4 – EBBF Budget. Please explain if any of the financing parties including the AE would benefit from any type of guarantee (e.g. sovereign guarantee, MIGA guarantee). Please also explain other contributions such as in-kind contributions including tax exemptions and contributions of assets. Please also include parallel financing associated with this project or programme (refer to the co-financing policy).					
C.2. Financing by component						
Please provide an estimate of the total cost per component and output as outlined in section B.3. above and disaggregate by source of financing. More than one co-financing institution can fund a single component or output. Provide the summarised cost estimates in the table below and the detailed budget plan as annex 4.						
Component	Output		GCF financing	Co-financing		

		Indicative cost million USD (\$) million USD (\$)	Amount million USD (\$) million USD (\$)	Financial Instrumen t	Amount million USD (\$) million USD (\$)	Financial Instrumen t	Name of Institution s
Component I: Strengthenin g and operationaliz ation of REDD+	1.1 Strengthened technical capacity of the local, regional and national fovernments to monitor and prevent deforestation	0.513	0.485	GrantsGra nts	0.027	In-Kind contributio n	Ministry of Environme nt
	1.2 Improved forest-based population capacity and access to report and monitor Cancun safeguards	0.368	0.368	GrantsGra nts			
Component II: Amazon Eco Bio Business Facility	2.1 Amazon EBBF established and operational	2.222	2.031	GrantsGra nts	0.191	In-kind contributio n	PROFONA NPE
	2.2 Amazon EBBF grants disbursed and implemented	6.447	5.696	GrantsGra nts	0.750	Grant	PROFONA NPE
Project Managemen t	PM	0.450	0.400	Grant	0.058	In-kind contributio n	PROFONA NPE
Indicative total cost (USD)		10.000	8.972		1.027		

This table should match the one presented in the term sheet and be consistent with information presented in other annexes including the detailed budget plan and implementation timetable.

In case of a multi-country/region programme, specify indicative requested GCF funding amount for each country in annex 17, if available.

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)

C.3.1 Does GCF funding finance capacity building activities?	Yes ☒ No ☐
C.3.2. Does GCF funding finance technology development/transfer?	Yes ☒ No ☐

The project will provide capacity building and technology transfer to address barriers³¹ to financial innovation in more precarious financial markets. Specifically, the EBBF will:

- **Strengthen the entrepreneurial ecosystem:** Components 1 and 2 will align EBB support with national-level strategies for forest conservation and sustainable stewardship jointly with MINAM. This policy framework combined with RBPs and government prioritization, will incentivize innovation and reduce risk for further investment. The EBBF will also extend the pool of entrepreneurs and connect the supported EBBs with each other and investees through knowledge exchange and capacity building. The EBBF will provide technical assistance to address the identified capacity gaps. Additionally, the EBBF will facilitate knowledge transfer in areas such as crop and non-timber product productivity improvement, post harvesting handling improvement and other demand-driven areas necessary to improve EBBF competitiveness.
- **Support the crowding in of private finance:** assistance provided by innovation partner to the EBBs will form “patient capital” that will work with forest-based businesses to strengthen EBBs’ networks for increasing private finance for technology, training and research and development.
- **Sustainability through formality:** EBBs often face the added obstacle of complying often with unclear sensitive land and environment related questions. Investors are not exempt from this hurdle, which is one of the reasons why forest investments have not been attractive to investors. By focusing on forest-based businesses while implementing international standards and best practices, the EBBF seeks to help formalize a sector that often suffers from informality. PROFONANPE and MINAM have close links with relevant local and national forest authorities.
- **Capacity building for improved decision making and monitoring:** The Ministry of Environment will provide training in a variety of areas for sustainable forest management. This includes:
 - a) Information management for the following actors to improve strategic decision-making regarding deforestation drivers:
 - Regional government authorities and technical staff across government agencies
 - Private sector actors who manage areas with forest cover and/or participate in the forest economy via bio eco businesses or investments
 - Citizens who participate in forest supervision or who have businesses or investments that depend on sustainable land or forest management practices
 - b) Update of Forest Reference Emissions Level
 - National and regional level authorities and technical staff involved in collection, processing, monitoring of emissions data
 - c) Aspects of REDD+ Safeguards compliance and oversight
 - Indigenous peoples,
 - Regional government authorities and technical staff
 - Private sector actors who manage areas with forest cover and/or participate in the forest economy via bio eco businesses or investments
 - Citizens who participate in forest supervision or who have businesses or investments that depend on sustainable land or forest management practices

³¹ *Catalysing Finance for Incubators and Accelerators Addressing Climate Change Through Innovation*. Green Climate Fund, Technology Executive Committee and the Climate Technology Centre and Network, July 2018.

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's [Initial Investment Framework](#).

D.1. Impact potential (max. 500 words, approximately 1 page)

Mitigation Impact

The project will contribute to the conservation of forests through the scale up of EBBs across the country. The information provided in this proposal responds to existing data from the Ministry of Environment in the framework of reports to UNFCCC and/or official public-facing data platforms. The baseline information provided will be updated once the EBBF has selected its EBBs according to the selection criteria, which will seek to maximize carbon mitigation and increased land area under sustainable stewardship (among other factors).

REDD+ RBP and EBBs will contribute to carbon sequestration from reduced deforestation and improved land and forest management practices. To estimate the carbon sequestered, MINAM and PROFONANPE followed the overall guidance of the Intergovernmental Panel on Climate Change (IPCC) and Peru's FREL submission to the UNFCCC. The carbon sequestered by the project corresponds to the net CO₂ sequestration from reduced deforestation through sustainable forest management and conservation of forest carbon sinks by EBBs as follows:

$$E_t = \sum_i^I (A_{i,t} * EF_{i,t})$$

Where:

E_t	Emissions from deforestation in year t ; tCO ₂ -e yr ⁻¹
$A_{i,t}$	Area deforested in the eco-zone due to land use change in year t ; ha yr ⁻¹
$EF_{i,t}$	Emission factor applicable to the eco-zone i due to land use change in year t ; tCO ₂ -e yr ⁻¹
i	Eco-zone i ; dimensionless
I	Total number of eco-zones; dimensionless
t	A year; dimensionless

Using this estimation methodology and considering 55 EBBs from window 2, MINAM and PROFONANPE estimated that the project will contribute to the sequestration of 3,806,936 tCO₂ during the project lifetime (20 years)³². The methodology for the project's mitigation impact potential is explained in detailed in *Annex 22b Carbon Methodology*. All emissions benefits from EBB projects in this annex are estimated using an avoided deforestation approach, although projects will also likely contribute to removals and avoided degradation if they contribute to sustainable forest management. They thus may have fewer avoided deforestation emissions benefits and more avoided degradation and removals benefits. The estimates here are therefore an approximation of the EBBs' mitigation impact, as degradation impacts cannot yet be quantified on a national level in Peru. The activities of this project will support the estimation of carbon impacts from degradation. The sale of emissions reductions from projects supported by the EBBF on the voluntary market as an additional source of revenue should not be considered during the GCF project implementation.

Economic Co-benefits

The project, through the Amazon EBBF, will generate co-benefits and contribute to job creation against external shocks, including climate change and COVID19 impacts.

The Amazon EBBF will support communities of 550 beneficiaries and avoid 8,602 hectares of deforestation. Further on, it is estimated that 4 people per each employee will be supported as part of the employee's household or through increased economic affluence and activity. This results in the indirect improvement of 2,200 people in rural communities. Importantly, generating employment especially in rural areas is key to providing alternative livelihoods to subsistence agriculture and thus to reducing the vulnerability of local communities to climate change.

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

³² The GHG estimates do not depend on the RBP flows.

The project has scaling up and replication potential in two major areas: (1) Serving as a regional example for the successful linking of RBPs with a variety of financing options to catalyze EBBs and support community while reducing deforestation, (2) demonstrating a functioning nexus between public policy and private investment to prioritize forest conservation and stewardship. To this end, an important component of the project would involve knowledge sharing and exchange opportunities with countries that currently have RBPs in place and/or countries that seek to implement RBPs and complement them with sustainable private investment opportunities.

Despite its extensive forest cover and significant planning around REDD+, Peru lags in comparison to other countries in Latin America with RBPs already in place to reduce deforestation. First, the proposed project activities will complete the crucial monitoring, evaluation, reporting and social safeguard processes necessary to initiate the virtuous cycle of RBP in deforestation hotspots. This will permit the scaling up of a financial incentive system for forest conservation in indigenous and traditionally vulnerable communities. Second, it will link these communities and small-scale forest-based economic initiatives often characterized by financial fragility with market investment. This model could inform current RBP systems in neighboring countries on how to successfully link RBP with other financing options to ensure solidity of forest-based EBBs.

The EBBF will deepen the entrepreneurial ecosystem and crowd-in private financing through training, technology transfer, specialized technical assistance from the innovation partner that will provide demand-driven support to EBBs. The management and commercial strategy skills of the EBB employees will be strengthened through the technical assistance they will receive. The project will actively engage in knowledge sharing in Peru and in Latin America. These factors will provide enabling conditions for scaling up in Peru and other countries in Latin America by:

- (1) reducing risk for potential new domestic and foreign investors,
- (2) demonstrating solutions to policy, legal and financial barriers that can be used as a model for other neighboring economies with RBPs already being implemented
- (3) enabling financial institutions and private sector actors to take the lead in innovation while receiving clear support from the government through RBP financing, a priority national policy framework that seeks to promote reduced deforestation and provides increased land tenure security.

Aligning national-level forest policy with RBPs and private investment opportunities will not only create an enabling environment characterized by higher security for private investment and significantly contribute to Peru's mitigation NDC through reduced deforestation, but also provide economic co-benefits for communities. It would also provide a platform to leverage benefits of complementary policies such as those promoting sustainable smallholder agriculture, conservation/production agreements, community forestry and agroforestry options. To this end, the project can serve as a regional example for successful initiative combining public policy, private capital and actors normally excluded from public support programs and private investment opportunities.

D.3. Sustainable development (max. 500 words, approximately 1 page)

Through forest cover conservation and sustainable management, the project contributes directly to SDGs 13 (combating climate change and its effects) and 15 (reduction of deforestation and sustainable use of ecosystems). There are also a number of SDGs that will be addressed indirectly through the virtuous cycle of improved natural resource tenure, which include:

Environmental co-benefits: (SDG6-Water)

Increased forest cover and sustainable forest use has the potential to result under improved stewardship of forestland, which will decrease soil erosion and increase quality and availability of water for agricultural and human consumption, as well as increasing quantity and diversity of flora and fauna (estimated in approximately 162,929 hectares).

Enhancing degraded landscapes

The project will seek to afforest or reforest degraded landscapes for the commercial, yet sustainable production of forest-based products and services. Besides creating additional carbon sinks, sustainably managed forests help to regulate soils and water flows. For example, by preventing soil erosion and water run offs, forests contribute to halt the detrimental effects of land degradation. Furthermore, conservation efforts can help conserve local biodiversity offering migratory corridors and breeding areas to insects and other animals, hence contributing to preserving the biodiversity in such areas.

Reducing pressure on natural forests

One of the key drivers of natural forest degradation and ultimately deforestation in Peru, especially in rural regions, is informal and unsustainable timber extraction for multiple end uses. By generating alternative employment opportunities,

the project has the potential to contribute to wider conservation efforts by reducing extractive pressures on natural forests over time.

Integrating Environmental and Social Standards

Each project supported by the EBBF will actively raise the environmental awareness of local communities partly through operational risk mitigation practices and partly through community development activities. For example, raising awareness among local communities about the causes and detrimental effects of fires, landscape degradation through anthropogenic forest fires will be reduced. Similarly, the conservation efforts of the different projects (e.g., ecotourism) will raise the appreciation of local communities for the environmental value of forests and transfer knowledge of best practices.

Economic co-benefits: (SDG1- Poverty elimination, SDG10-reduced inequality, SDG8-work and economic growth) Well-managed forest cover provides increased protection against flooding and reducing economic loss from climate events. Soil stability also provides enabling conditions for a greater diversity for income generation of forest-based products for EBBs. It also increases potential for tourism and recreation opportunities in forest environments.

Employment creation and tax revenue

EBBF-supported projects are estimated to provide direct employment and training to more than 550 people. Further on, it is estimated that 4 people per each employee are supported as part of employee's household or through increased economic affluence and activity, resulting in the indirect improvement of 2,200 people in rural communities.

The project will widen the local tax base in several ways. Among many other things, the EBBs will generate profits, create employment, and fuel further investment in forest-based projects. The forest sector tends to be highly informal, i.e., taxes, both at individual employee level and at company level, as well as other payments such as license fees, royalties etc. are not paid. This informality also leads to low participation in social welfare structures such as healthcare plans and pension schemes. Further growth and formalization in the forestry industry will create tax income for local governments, both directly through corporate income taxes and tax-like payments such as licensing fees or harvesting royalties paid by the project companies and indirectly through personal income taxes of employees and payments of other companies that benefit from the project indirectly (e.g. contracted service providers or processing companies). This increase in tax and tax-like revenues for local governments has the potential to free up public finances that can be used elsewhere to spur sustainable economic development or climate action.

Economic diversification

Peru is highly reliant on a few export products and its economic growth is thus sensitive to price swings in such products. For example, Peru's real GDP grew by 9.1% in 2008, followed by a slowdown to 1% in 2009³³. Peru's economy is highly dependent on copper ore and gold (41.4 percent of exports in 2018³⁴) and thus vulnerable to external price shocks. This is seen in the recent economic contraction due to a slowdown in commodities demand. By contribution to the development of a significant local forest sector, the project can support the country to diversify its economy economies and becoming less vulnerable to external shocks.

Support for small and medium enterprises

The project is expected to have significant spillover effects to local industries and related economic sectors. First and foremost, the well-being and survival of local forest products processing industries. Secondly, the projects supported under the project may contract local service providers, e.g., for installation, maintenance, or transport activities. Many such contractors are SMEs, meaning the project is expected to spur their local business activity. Finally, if such enterprises are contracted, they will be required to ultimately abide by the same business practices as the project companies, e.g., in terms of health and safety. This way the project will contribute to passing best practices along the value chain and create wider economic (e.g., increased productivity) or social (e.g., increased safety standards) benefits.

Social co-benefits:(SDG3-health lives and well-being)

Employment Formalization

The project will support the formalization of labor in areas dominated by informal employment relations. This will allow people employed under the project to benefit from wider social services like public social security or health insurances, which they currently miss under informal employment relations. Similarly, best practices regarding working hours health

³³ <http://datatopics.worldbank.org/world-development-indicators/>

³⁴ <https://oec.world/en/profile/country/per/>

and safety standards, vacation, etc. will be followed, which will benefit people employed under the project beyond the monetary value of their salaries.

Reverse the urbanization trend

By establishing EBBs in rural areas, the project will generate labor in rural areas with limited alternative employment opportunities – with subsistence agriculture oftentimes being the only form of economic activity. Doing so, the project will help to mitigate the causes of urbanization, as particularly young people tend to migrate to cities to find employment and overcome economic disparities. Retaining such talent in rural areas will support the betterment of local communities and their well-being in the long run.

Gender development impact:(SDG5-Gender equality):

Increased participation of women and men in transparent decision-making processes and more secure land tenure will increase employment opportunities will strengthen access to secure land tenure.

The projects supported by the Amazon EBBF will seek to offer employment opportunities or other benefits following a gender responsive approach. This means that PROFONANPE will use its best endeavors to ensure that the social and economic benefits that its stakeholder groups derive from the operations of its portfolio companies will be distributed in an equal basis taking into account the needs of the various groups and noting that such needs may vary between the groups. From other EBB initiatives it is clear that such projects (especially forest-based projects) generally have certain areas of operation which are well suited and liked by female employees. Female planting teams have been successful in other projects for example in East Africa. Also, nursery operations typically attract female employees. It is therefore estimated that between 15 -30 % of the workforce will be female. This is seen as both reducing gender inequalities in the target regions and the vulnerability of local communities to climate change. Firstly, women living in rural areas of the target regions are oftentimes left with no employment opportunities other than – at most – subsistence agriculture or gathering non-wood forest products. Secondly, providing employment to women diversifies the income streams of families away from subsistence agriculture and employment of working men and thus reduces the vulnerability of their livelihoods.

D.4. Needs of recipient (max. 500 words, approximately 1 page)

While Peru has made important steps to develop environmental institutions during its decentralization process and the creation of a series of agencies for environmental policy and enforcement, the OECD Environmental Performance Assessment cites three important needs for strengthened environmental governance that will be directly addressed by this project: (1) the need for increased and equitable social participation, (2) increased effectiveness in environmental legal enforcement and (3) enhanced interinstitutional cooperation for policy development and implementation³⁵. This is in addition to catalyzing private sector participation in eco-innovation and increasing economic information to foment a higher diversity of financial instruments for environmental activities. By the implementation of social and environmental safeguards for REDD+ activities, MINAM will increase transparency and reinforce equitable representation by vulnerable populations and women in environmental decision making. Increased accurate deforestation information and implementation at the subnational level will also improve available data for potential private investors and also increased public funding. Finally, in the framework of REDD+ governance and existing governance mechanisms, MINAM will improve inter-institutional coordination for forest conservation and management.

Peru's rural population is largely dependent on subsistence agriculture and natural resources for their livelihoods. At present, 80% of Peruvian farmers are subsistence farmers depending on rainfed agriculture. 21% of households are below the poverty line, with rural poverty being much higher than urban poverty. Since a large proportion of natural resources are *free to take*, these resources provide short-term relief to households living below the poverty threshold, and as source of livelihood by providing the option for deriving food and income from multiple sources. With population growth, increase in population density in rural areas, as well as the general overutilization of the resources, in many areas the resources around villages have been depleted so that households are finding it more difficult to access them, further increasing the vulnerability of these communities. The proposed project will make a significant contribution to improving the position of the rural communities located within the project areas primarily by providing formal employment opportunities. It is estimated that livelihoods of up to 54,648 people will be improved through PROFONANPE's activities. In addition to providing employment and source of income, the formal employment also shifts these people to the reach of healthcare and vocation education services as well as pension and social security system.

³⁵ <https://www.oecd.org/environment/country-reviews/16-00313%20Evaluacion%20desempeno-Peru-WEB.pdf>

D.5. Country ownership (max. 500 words, approximately 1 page)

Peru established its original National Climate Change Strategy in 2015, which was a framework document that established the importance of climate change actions and gave way to its NDC contributions. In 2018, Peru passed the Framework Law for Climate Change and in 2019, its regulation provided further detail on the roles of MINAM and other ministries for NDC development, update, and implementation.

The NDA (Ministry of Economy and Finance) has a completed country program awaiting final approval that prioritizes investment in the major GHG emission areas of land use/land change, agriculture, energy, industrial processes, solid waste, housing and transportation. The role of the NDA in the project will be to coordinate directly with MINAM and PROFONANPE (DAE) for reporting to the GCF.

As this project directly addresses deforestation drivers and land use and land use change, it is directly aligned not only with NDCs, but also complements national-level rural development initiatives such as the NAMAs in coffee, cocoa, sustainable cattle ranching and intern-institutional coordination efforts to reduce deforestation.

The project has received approval by the NDA and was developed with the Ministry of Environment and PROFONANPE (DAE) which will also act as the Executing Entities for Component I and Component II, respectively.

In addition to climate change legislation, the proposed project is also aligned with economic development strategies such as the Biocommerce National Strategy and Action Plan 2025. This EBB-focused mission is aligned with Peru's country development vision as evidenced in various national policies. The table below provides an overview of the main planning and strategy documents targeting EBBs.

Table 8. Planning and Strategy Instruments targeting eco bio businesses

Document	Reference to Eco Bio Businesses
1. General Guidelines for the identification and promotion of eco and bio businesses RM 046-2020-MINAM	These guidelines provide the general overall official framework for the identification and promotion of EBBs as well as promotion/strengthening actions developed to address key challenges specific to them. The General Guidelines: (1) Identify and define the different types of eco businesses and bio businesses according to the type of products they product, (2) Targeted promotion/strengthening actions that respond to traditional areas of need for EBBs.
2. National Environmental Policy (Política nacional del ambiente) Decree N° 012-2009-MINAM	a) Biological biodiversity guidelines: Promote biocommerce practices, facilitating establishing sustainable productive chains. b) Use of natural resources: Promote organic agriculture, agroforestry and aquaculture, under biocommerce criteria, articulating productive chains and with the active participation of local populations. c) Environment, commerce and competition: Encourage environmental competition and promote private investments for the development of biobusinesses, including the principles of exportable production.
3. National Biological Diversity 2021 Strategy and its 2014-2018 action plan (Estrategia nacional de diversidad biológica al 2021 y su plan de acción 2014-2018 (EPANDB))	-Defines biobusinesses as the profitable use of biological diversity products, considering the environmental, social and economic sustainability criteria. -Considers targets to encourage the development of biobusinesses, emphasizing the biocommerce model, to provide for internal and external markets: encourage 5 biobusinesses preferably directed towards the biocommerce model, achieving marketing two new products with added value.

4. Guidelines for green growth (Lineamientos para el crecimiento verde) R.M. 161-2016-MINAM	- The green growth approach is understood as encouraging economic growth and development, while ensuring natural assets continue to supply nature's resources and services which lay the foundations for our wellbeing.
5. National Green Growth Strategy Draft proposal (Borrador de propuesta de la estrategia nacional de crecimiento verde) (ENCV)	- Specifically in strategic objective 1: Green economic activities, including eco businesses and bio businesses, scarcely participate in national economy. The productive diversification towards activities more intensive in innovation, science and technology, as well as a reduction in the dependence on exporting raw materials is an urgent need. Specific objective 1.1: Increase productivity, competitiveness and green markets: this specific objective centers around increasing labour production and innovation, promoting eco businesses, bio businesses and green jobs, and incentivizing the efficient use of energy and water. Considering this, the action points set to achieve this specific objective are: Action point 1: increase participation in green economic activities • Capacity building and technical assistance for the development of ecobusinesses and biobusinesses; and in business management, financial management and sustainable use of natural resources for industrial and agricultural businesses. • Promoting private investments in the forestry sector and in industrial parks in prioritized areas. • Economic diversification with the identification of markets and promoting hydrobiological products, andean-amazonean fruits, andean grains, ecotourism, and responsible tourism, teleworking, and exportable organic products. • Researching and creating new green jobs in the industrial sector, increasing agricultural productivity in priority crops and breeding.
6. Biocommerce National Strategy and its 2025 action plan (Estrategia nacional de Biocomercio y su plan de acción al 2025) DS 008-2016 MINCETUR	-Biocommerce is defined as an activity that, through the sustainable use of native biodiversity resources, promotes investment and commerce in line with the objectives in the Convention on Biological Diversity; supporting the development of local level economic activity through strategic alliances and generating added value on biodiversity products competitive for national and international markets, with social equity and economic profitability criteria. The Strategy develops seven thematic foci: 1. Policies and Legal Framework, 2. Institutionality related to Biocommerce, 3. Supply development, 4. Research, development and innovation, 5. Market development, 6. Knowledge management, 7. Monitoring and evaluation.
7. National Innovation for Competitiveness and Productiveness Program (Programa nacional de innovación para la competitividad y la productividad) (INNOVATE PERU).	- Fund for promoting innovation. - In 2016, the call for StartUp Peru was launched, aimed at financing business undertakings that promote the sustainable use and valuing biodiversity; meaning the use of biological diversity components (ecosystems, species or genes) in a form and rate that does not cause its diminishing on the long term, with which its possibilities for satisfying human needs are maintained.

D.S. 003-2014 PRODUCE	
8. Strategic Sectorial Multiannual Plan (Plan estratégico sectorial multianual) (PESEM) R.M.385/2016 MINAM	The Strategic Sectorial Multiannual Plan of the Environmental Sector is composed of five sectorial objectives: 1. Improving the environment condition. 2. Promote sustainability in the use of biological diversity and ecosystem services. 3. Promote the reduction of GHG emissions. 4. Strengthen the capacity for adaptation and response towards climate change and geological and glaciological events. 5. Strengthen environmental government and culture.
9. Ministry of Environment 2017-2019 Institutional Strategic Plan (Plan estratégico institucional (PEI) 2017-2019 del ministerio del ambiente)	Environmental sector 2017-2021 vision: “A modern country that sustainably uses its natural resources and cares for conserving the environment reconciling economic development with environmental sustainability for the benefit of its citizens.” Mission: Ensuring the sustainable use, the conservation of natural resources and environmental quality for the benefit of people and the environment, in a normative, effective, decentralized manner, and articulated with public and private organizations and the civil society, in the green growth and environmental governance frameworks. Nine Strategic Objectives: 1. Ensuring the sustainable management of biological diversity and ecosystem services. 2. Increasing the recovery, rehabilitation and restoration of degraded ecosystems, species and ecosystem services. 3. Increasing the adaptive capacity and resilience of people's livelihoods, ecosystems and ecosystem services. 4. Promoting carbon capture and the reduction of GHG emissions at the national level from the productive sectors and services. 5. Strengthening the management of air, water and soil environmental quality, and waste and chemical substance management. 6. Increasing the ecoefficiency and environmentally responsible production approach. 7. Strengthening the National Environmental Management System. 8. Promoting a greater and better environmental culture, education and knowledge. 9. Strengthening environmental institutional.
10. Ministry of Environment Regulation of organization and functions (Reglamento de organización y funciones (ROF) del ministerio del ambiente)	Article 65 designates the following functions to the General Environmental Economy and Financing Directorate (under the Strategic Development of Natural Resources Vice-ministry): a) Produce and implement national technical instruments, programmes and projects related to environmental economic valuation and environmental financing. B) Produce the guidelines for the valuation of forestry and wildlife diversity. C) Implement actions linked to treaties, agreements, conventions and other international instruments related to green growth. D) Design and promote economic and financial instruments that facilitate public and private investment in the conservation and sustainable use of biodiversity, ecosystem services and environmental protection.

E) Promote biobusinesses and ecobusinesses with the participation of the private sector within its scope, in coordination with competent entities.

D.6. Efficiency and effectiveness (max. 500 words, approximately 1 page)

The cash flow profile of most EBBs represents a barrier to significant investment in the sector. Most EBBs require large upfront investments, but only start generating positive cash flows several years, sometimes decades after the first investment depending on several factors. The stretched-out cash flow profile – especially of long rotation projects with a high mitigation potential – puts the financing structure of a greenfield EBBs under strain, as not only initial establishment costs but also maintenance costs in the early years of operation have to be financed up front until operational costs can (at least partially) be covered by cash inflows. Hence, greenfield plantation projects are not bankable for conventional debt financing and thus in dire need for flexible and patient equity financing. In fact, domestic debt financing e.g., through commercial banks is largely non-existent. Peruvian EBBs have seen only little investment to date. Despite offering attractive risk-adjusted returns and significant impact potential, especially private investors have largely stayed away for different reasons, incl. the sector being at a nascent development stage and high perceived operational or country risks. It is expected that GCF's investment will catalyze further co-investments into the EBBF investee companies over the long run. This is because the GCF investment will help PROFONANPE create additional track record to reduce the perceived risk of EBBs and attract future investors. Similarly, the GCF investment will support the EBBF in reaching a critical scale to ensure an efficient fund structure and sufficient project diversification. Once operational, the EBBF will attract potentially additional capital from REDD+ RBP and other national and international donors, meaning GCF's investment is not expected to crowd out, but rather to encourage other public donors to follow suit.

Capital mobilization and investment leverage

GCF investment will mobilize additional capital in two ways. On one side, the EBBF will typically not be the sole investor in the EBBs, but provide financing alongside other sources, such local financial institutions (LFIs), impact investors and the EBBs themselves. This last is represented by the 15% of co-financing (in cash or in-kind) that is asked to apply for the grants.

On the other side, PROFONANPE, by its experience in fundraising funds, is expected to increase the investment of the Facility, leveraging resources from other international sources like donors or impact investors.

Finally, the EBBF would be one of the first funds in the region to solely invest in forest-based companies with the potential to spark follow-on investments by creating more track records for EBBs as an asset class and by reducing perceived risks.

CO₂ sequestration

It is estimated that the EBBs will lead to a total of 3,806,936 tonnes of CO₂ of emission reductions due to avoided deforestation over the project lifetime. Hence, every 10 USD invested will contribute to emission reductions of approximately 3.81 tons of CO₂. This estimate is deemed conservative because it does not account for (i) emission reductions from indirectly preventing natural forest degradation and deforestation, (ii) emission reduction from additional capital raised during the EBBF lifetime, (iii) emission reduction from grant repayment by EBBs, (iv) emission reductions after the project lifetime, and (v) carbon sequestration due to enhancements in forest carbon stocks. The estimated mitigation costs of 2.63 USD/tCO₂ are competitive when compared to other – although less comparable – GCF funded projects. Experience from other (non GCF funded) renewable energy projects in developing countries confirms that mitigation costs strongly depend on the technology and scale of a project but can be significantly higher than what is estimated for the Amazon EBBF.

E. LOGICAL FRAMEWORK

This section refers to the project/programme's logical framework in accordance with the GCF's Integrated Results Management Framework to which the project/programme contributes as a whole, including in respect of any co-financing.

E.1. Project/Programme Focus

Please indicate whether this proposal is for a mitigation or adaptation project/programme. For cross-cutting proposals, select both.

- ☒ Reduced emissions (mitigation)
☐ Increased resilience (adaptation)

E.2. GCF Impact level: Paradigm shift potential (max 600 words, approximately 1-2 pages)

This section of the logical framework is meant to help a project/programme monitor and assess how it contributes to the paradigm shift described in section D.2 above by applying three assessment dimensions - scale, replicability, and sustainability.

Accordingly, for each assessment dimension (see the definition per assessment in the accompanying guidance note), describe the current state (baseline) and the potential scenario (target) and rate the current state (baseline) by using the three-point-scale rating (low, medium, and high) provided in the guidance note. Also describe how the project/programme will contribute to that shift/ transformation under respective assessment dimensions (scale, replicability and sustainability). In doing so, please refer to section B.2(a) (theory of change).

Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
Scale	Various national policies, strategies, and guidelines promote EBBs and actions needed to scale them to promote emission reductions. However there is a small domestic market with limited awareness, limited understanding of the logistics to access international markets,	<u>Medium</u> Medium	The project will enable a successful link of RBPs with a variety of financing options to catalyze EBBs and support communities while reducing deforestation and demonstrating a functioning nexus between public policy and private investment to prioritize forest conservation and stewardship. Access to finance to be able to scale EBB operations will be increased and technical capacity to receive RBPs will be enhanced.	Project activities will complete the crucial monitoring, evaluation, reporting and social safeguard processes necessary to initiate the virtuous cycle of RBP in deforestation hotspots. This will permit the scaling up of a financial incentive system for forest conservation in indigenous and vulnerable communities. The project will enable scaling up conditions by reducing risk for potential new domestic and foreign investors and enabling financial institutions and private sector actors to take the lead in innovation, while receiving clear support

	lack of upfront capital, a lack of collateral to raise finance, and other considerable gaps.			from the government through RBP financing.
Replicability	EBBs are currently also supported in Colombia, Ecuador, and Bolivia and therefore there is potential for replicability across countries. Various international organizations promote EBBs and MINAM has implemented projects associated with EBBs that offer potential for replicability. However there are limited communication channels with regional and international investors, difficulties in accessing information, preventing replicability	<u>MediumMedium</u>	The project can serve as a regional example for a successful initiative combining public policy, private capital and actors normally excluded from public support programs and private investment opportunities. More EBBs will be able to access finance and follow the example models of the EBBs participating in this project.	The project will actively engage in knowledge sharing in Peru and in Latin America. This project will link these communities and small-scale forest-based economic initiatives often characterized by financial fragility with market investment. This model could inform current RBP systems in neighboring countries on how to successfully link RBP with other financing options to ensure solidity of forest-based EBBs. The project will also demonstrate solutions to policy, legal and financial barriers that can be used as a model for other neighboring economies.
Sustainability	Institutional structures to support EBBs long-term exist across multiple stakeholders although still depend on external support and face many implementation challenges.	<u>MediumMedium</u>	EBBs are able to have more sustainable growth through access to technical assistance and capacity building. A growing number of EBBs will support the implementation of REDD+ result-based-payments which, in turn, will open up funding opportunities of even more EBBs in a positive feedback loop.	The EBBF will deepen the entrepreneurial ecosystem and crowd-in private financing through training, technology transfer, and specialized technical assistance from the innovation partner that will provide demand-driven support to EBBs and therefore will promote long-term sustainability of the project through capacity building. The management and commercial strategy skills of the EBB

				employees will be strengthened through the technical assistance they will receive.		
E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)						
Select appropriate IRMF core and supplementary indicators to monitor project/programme progress. More than one IRMF (core and or supplementary) indicators may be selected as applicable for each GCF results area and project/programme outcome (as defined in the table in section B.2(b)). If IRMF indicators are unable to measure any given project/programme outcomes, project/programme-specific indicators should be developed under section E.5 (project/programme specific indicators).						
GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final ³⁶	
<u>MRA4 Forestry and land use</u>	<u>Core 1: GHG emissions reduced, avoided or removed/sequestered</u>	• REDD+ registry • Infocarbono	0	951,730 tCO2eq	<u>1,903,468</u> tCO2eq	Avoided deforestation and emissions calculated through IPCC methodology in alignment with Peru’s FREL submission to the UNFCCC (see Annex 22 Carbon Methodology). Project lifetime: 20 years GHG emissions avoided in project lifetime: <u>3,806,936</u> tCO2eq Annual emission reductions: 190,346 tCO2eq

³⁶ The final target means the target at the end of project/programme implementation period. However, for core indicator 1 (GHG emission reduction), please also provide the target value at the end of the total lifespan period which is defined as the maximum number of years over which the impacts of the investment are expected to be effective.

MRA4 Forestry and land use	Core 4: Hectares of natural resources brought under improved low-emission and/or climate-resilient management practice	- Annual reports from the competent entity (MINAM) - Portfolio company data	0	40,732.25 ha of forest are under sustainable land use practices proposed by the project	81,464.5 ha of forest are under sustainable land use practices proposed by the project	Investee EBBs profile is aligned with the 2017 census (see Annex 22 Carbon Methodology) Project lifetime: 162,929 ha
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E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)

Select at least two relevant IRMF core (enabling environment) indicators to monitor and elaborate the baseline context and project/programme's targeted outcome against the respective indicators. Rate the current state (baseline) vis-à-vis the target scenario and select the geographical scope of the outcome to be assessed. Describe how the project/programme will contribute towards the target scenario. Refer to a case example in the accompanying guidance to complete this section.

Core Indicator	Baseline context (description)	Rating for current state (baseline)	Target scenario (description)	How the project will contribute	Coverage
Core Indicator 5: Degree to which GCF investments contribute to strengthening institutional and regulatory frameworks for low emission climate-resilient development pathways in a country-driven manner Core Indicator 5: Degree to which GCF investments contribute to strengthening institutional and	Forest Monitoring System: The REDD+ Forest Cover Monitoring Module's methodology is not complete Peru's forest reference emissions level only includes deforestation activities	mediummedium	<i>Midterm:</i> Forest Monitoring System established but not operational Technical evaluation report by UNFCCC experts, validate inclusion of conservation as a new activity at the forest reference emissions level <i>Final:</i> Forest Monitoring System operational and able to generate credible reports	Through Activity 1.1.3, the EBBF will support the development of a FREL for activities other than deforestation activities by including conservation and sustainable management of forests. Contributions include a technical document that identifies information gaps, a technical document that identifies overlapping concepts on conservation and sustainable management with the relevant sectors, and a	National level (one country) National level (one country)

<u>regulatory frameworks for low emission climate-resilient development pathways in a country-driven manner</u>				methodology for estimating activity data and emission factors for these two activities.	
<u>Core indicator 7: Degree to which GCF Investments contribute to market development/transformation at the sectoral, local, or national level</u>	There are currently 10 investors in EBBs and the market has room to develop. ³⁷	low	<i>Midterm:</i> Greater number of investors and investments in EBBs at the national sectoral level (4 private investors that invest in EBBs) <i>Final:</i> Greater number of investors and investments in EBBs at the national sectoral (8 private investors that invest in EBBs)	The EBBF will contribute to market development for EBBs and transforming the EBB market by increasing the investment pathways available to EBBs and the number of investors interested in EBBs. Under Output 2.2., the EBBF will provide technical assistance and seed capital grant funding to EBBs to crowd in private investments and generate lessons learned. The EBBF will support an innovation partner, offering technical assistance to EBBs in order to dynamize the interventions by covering all the regions of the project. EBBF seed capital will enable the implementation of blended finance solutions, whereby EBBF grants will improve the risk/return profile of selected EBBs to leverage private capital investments.	<u>National level (one country)</u> <u>National level (one country)</u>

³⁷ The AE will develop data collection to verify the baseline under activity 2.1.2

E.5. Project/programme specific indicators (project outcomes and outputs)

This section should list out project/programme-specific performance indicators (outcomes and outputs) that are not covered in sections above (E.1-E.4). List down tailored indicators to monitor /track progress against relevant project/programme results (outcomes/outputs). AEs have the freedom to decide against which outcomes they would like to set project/programme specific indicators. If any co-benefits are identified in sections B.2(a)(b), and D.3, AEs are encouraged to add and monitor co-benefit indicators under the “Project/programme co-benefit indicators” section in table below. Add rows as needed.

Please number each outcome and output as shown below to indicate association of outputs to the contributing outcome. The numbering for outputs under this section should correspond to the output numbering in annex 4 (detailed budget plan).

Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
Output 1.1 Strengthened technical and institutional capacities to monitor and prevent deforestation	Indicator 1.1.1 FREL for Amazon biome includes deforestation and forest degradation.	Report on standardized methodology for mapping deforestation Annual progress report on degradation sub-module	Forest cover monitoring module presents maps of forest loss and land use without thematic precision analysis. No degradation report.	Improved Forest Cover Module - including deforestation and forest degradation-cover at least 60% of the forests of the Amazon biome.	Improved Forest Cover Module - including deforestation and forest degradation, cover 100% of the Amazon biome.	There is some progress carried out by MINAM which requires further support. In the case of Peru, forest monitoring has been carried out for Amazonian forests. However, in 2021, MINAM began the official mapping of 02 additional ecosystems: Seasonally dry forest (2,376,000.55 hectares) and Pacific tropical forest (40,000.58 hectares). It is expected that, based on the methodology developed, the Geobosques platform will monitor these ecosystems. According to Article 58 of the regulation of the

						framework Law on climate change, Law No. 30754, establishes that the tools for monitoring, measuring and reporting the measures to reduce GHG emissions and increase GHG removals in Forests are: Module Forest Cover Monitoring System (MMCB) and the Safeguards Information Module for REDD +
	Indicator 1.1.2 FREL for Amazon biome including degradation approved by UNFCCC	Reference Level Report for deforestation and degradation activities	Only the FREL for deforestation is available for the Amazon.	FREL for both deforestation and degradation developed for the Amazon, validated with key stakeholders At least 01 national regulations are informed/built based on the Forest Emissions Reference Level Report	FREL of REDD+ activities of deforestation and degradation approved that helps to monitor the performance of the country to prevent deforestation At least 02 national regulations are informed/built based on the Forest Emissions	There is some progress carried out by MINAM which requires further support. Regarding the 05 REDD+ activities foreseen in the UNFCCC, Peru's current reference level of forest emissions only incorporates the reduction of deforestation. Peru is recognized as a High Forest Low Deforestation country, so it is vital to develop a FREL that includes other REDD+ activities, such as conservation of carbon stocks and sustainable management of forests.

					Reference Level Report	This will make visible the climate contribution of forest concessions and natural protected areas
<i>Output 1.2</i> <i>Strengthened technical and institutional capacities to ensure the environmental and social integrity and sustainability of EBBs</i>	<i>Indicator 1.2.1</i> <i>Number of ESG tools strengthened to enable EBB's screening, categorization, assessment, monitoring and reporting under Peru's national REDD+ framework</i>	Revised ESMS Standard Operating Procedures (SOPs) for EBBs SOPs for the MIS and MAC MIS and MAC pilot versions operational	EBBF's ESMS, SEP and GAP, and associated guidance and tools MINAM's country approach to REDD+ safeguards and first SOI	Revised EBBF's ESMS, guidance and tools to ensure EBB's adherence to the Peruvian REDD+ safeguards country approach SOPs and training modules for EBBs SOPs for the Safeguards Information Module and MAC developed / revised	Safeguards Information Module and MAC pilot version operational At least 03 KPs lesson learned on environmental and social integrity and sustainability of small-scale EBB's nested under a national REDD+ results-based framework and financing	There is some progress carried out by MINAM which requires further support. Currently, there is 01 national group on safeguards for REDD +, with multi-stakeholder, multi-level participation, with active participation in REDD+ design in Peru. Likewise, there is a 01 national Prototype of the Safeguards Information Module (MIS). Source: RPP Project 2
<i>Output 2.1</i> <i>Strengthened business</i>	<i>Indicator 2.1.1 Access market level</i>	Portfolio company data Interviews (qualitative methods)	46 EBBs participate in international platforms /	7 EBBs access to new national or international markets.	15 EBBs access to new national or	Private companies international/nationals maintain interest to

case and productivity of EBBs			missions (MINAM's database)		international markets	support EBB 's development Targets can be updated at the Interim Evaluation stage with more reliable data. ³⁸
	Indicator 2.1.2 Estimated increase in revenue of EBBs	Portfolio company data Surveys	baseline to be developed ³⁹	At least 1% increase in sales from baseline level	At least 2% increase in sales from baseline level	Baseline survey is developed
Output 2.2 Increased investor appetite for EBBs	Indicator 2.2.1 Interest of investors in EBB.	Number of private investors that invest in EBBs	10 ⁴⁰	15	20	Private companies maintain interest to support EBB 's development
Project/programme co-benefit indicators						
Creation of green jobs through increased investment in EBBs with a sustainable forest management approach	Number of green jobs created disaggregated by sex	Portfolio company data	Total new green jobs: 0 Male: 0 Female: 0	Total new green jobs: 275 Male: 192 Female: 83	Total new green jobs: 550 Male: 385 Female: 165	Employees per EBB estimated: 10 ⁴¹
E.6. Project/programme activities and deliverables						
All project activities should be listed here with a description and sub-activities. Significant deliverables should be reflected in annex 5 implementation timetable. Add rows as needed.						

³⁸ At this stage, it is too early for the AE to provide estimates of the country market and EBBs

³⁹ baseline surveys to be developed by the project in year 1 under activity 2.1.2 .

⁴⁰ The AE will develop data collection to verify the baseline under activity 2.1.2

⁴¹ According to national regulation of micro enterprises that considers 1 to 10 employees.

Please number the activities as shown below to indicate association of activities to the related outputs provided above in section E.5. Similarly, please number sub-activities as shown below to associate to the related activity.

Activity	Description	Sub-activities	Deliverables
1.1.1 Strengthening the Forest Cover Monitoring Module (MMCB)	MINAM will carry out a compatibility analysis between the methodology for mapping deforestation of the MNCB and the methodology of the Reference Mesh approach on deforestation to be used in the report of the reference level to the UNFCCC.	• Definition of a methodological approach to generate data on deforestation activity • Produce reports on forest emissions. • Development of the thematic accuracy analyses for the forest loss maps • Verification of the reduced emissions for performance payments.	Improved MNCB methods.
1.1.2 Operationalization of the forest degradation sub-module	MINAM operationalize the forest degradation sub-module, enhancing the capacity of the MNCB to monitor forest degradation.	• Support the operation of the Forest Degradation Submodule. • Update data on degradation activity in coastal and highland ecozones. • Make methodological adjustments to degradation mapping. • Capacity building to key staff on the use of degradation data and tools for monitoring.	Operationalization Manual
1.1.3 Support to advance the development of FREL/FRL for REDD+ activities of conservation and sustainable management of forests	MINAM will support the development of the FREL for REDD+ activities of conservation and sustainable management of forests.	• Development of technical documentation and methodology for estimating activity data and emission factors • Consultations and validation meetings with key country stakeholders •	Technical document that identifies information gaps. Technical document that identifies overlapping concepts on conservation and sustainable management with the relevant sectors, Methodology for estimating activity data and emission factors for each of these two activities.

<i>1.2.1 Develop and/or review of procedures, guidelines and tools to support the screening, assessment, monitoring and reporting of potential social and environmental risks and impacts, and to ensure EBBs adherence with relevant REDD+ and EBB safeguards</i>	The EBBF seeks to contribute to strengthening Peru's REDD+ institutional framework and facilitate piloting the "nesting" of small-scale interventions under the national framework. To do so, the EBBF will provide specialized technical assistance and backstopping to MINAM.	• Preparation of REDD+ safeguards procedure and associated guidelines for EBBs to facilitate the screening, categorization, assessment, management, monitoring and reporting on environmental and social risks and impacts; • Preparation of Guidelines for the operationalization of EBB's accountability mechanism, aligned with the EBBF's Accountability and Grievance Mechanism and the MAC. The revision of the EBBF's ESMS to ensure consistency in the screening, categorization, assessment, management, monitoring and reporting on environmental and social risks and impacts, at the facility level, as relevant	REDD+ safeguards procedure and associated guidelines for EBBs Guidelines for the operationalization of EBB's accountability mechanism, Revised EBBF's ESMS
<i>1.2.2 Build technical capacities to ensure EBBs adherence with relevant REDD+ and EBB safeguards</i>	The EBBF will build the technical capacities of EBBs and relevant stakeholders, including end-beneficiaries (i.e. Indigenous Peoples, regional governments, and private sector actors/organizations) to ensure EBBs adherence with relevant REDD+ and EBB safeguards.	Utilizing the guidelines developed under activity 1.2.1, and those designed under the UN REDD+ program, this activity will involve the dissemination of the guidelines, accompanied by training sessions (3 a year) targeted to EBBs and the SCTS, as well as technical backstopping to EBBs throughout the EBB life-cycle.	Workshop reports for 3 targeted trainings a year
<i>1.2.3 Piloting of MINAM MIC and MAC</i>	This activity will provide technical assistance for the piloting of the MIS and MAC.	This activity will involve: - Set up of operational MIS that is linked to monitoring and	Operational MAC Operational MIC

		reporting of sub-national REDD+ activities, including of small-scale REDD+ actions under the EBBF. This will be done through the adoption of necessary operating procedures and guidelines, and the set-up of technological solutions. - Set up of operational MAC that is linked/accessible to sub-national REDD+ activities, including of small-scale REDD+ actions under the EBBF. This will be done through the adoption of necessary operating procedures and guidelines, and the set-up of technological solutions. - Piloting of both MIS and MAC, and the generation of annual reports, which can inform national reporting on REDD+ safeguards, including the preparation of Peru's subsequent SOIs.	Annual reports from MIC and MAC
1.2.4 Knowledge generation and dissemination of lessons learned on environmental and social integrity and sustainability of small-scale REDD+	The EBBF will contribute to strengthening capacities at the EBB and national level, and aims to generate relevant lessons to be	The development of three (3) knowledge products (including case studies) to capture best practices and lessons learned in relation to: i) the set-up and operation of an integrated	3 knowledge products

<i>interventions consistent with REDD+ results-based financing landscape</i>	replicated at a regional and global level.	environmental and social REDD+ safeguards framework that enables the screening, categorization, assessment, management, monitoring and reporting on environmental and social risks and impacts of small-scale REDD+ interventions; and ii) opportunities and remaining challenges to nest small-scale REDD+ interventions under national REDD+ frameworks to enable direct access to results-based financing.	
<i>2.1.1 Establishing the Amazon Eco Bio Business Facility</i>	PROFONANPE will develop a framework for the establishment, operationalization and sustainable replenishment of the facility.	• Opening of a dedicated account • Formalization of strategic goals and objectives • Baseline elaboration • Awareness raising initiatives targeting both public and private audience	Facility's Operation Manual
<i>2.1.2 Operationalizing the Amazon Eco Bio Business Facility</i>	Development and formalization of governance system, operational manual and implementation arrangements.	• Formalization of governance system (staff assignment, roles and responsibilities) • Formalization of operations manual • Formalization of implementation arrangements	Governance System, Operational Manual and Implementation Arrangements
<i>2.1.3 Defining the replenishment strategy of the EBBF</i>	The EBBF Project Administration Council will conceptualize the replenishment strategy of the facility to	• Formalization of replenishment strategy • Engagement with potential donors	Minutes reflecting approval from PAC

	ensure the long term sustainability of the facility	Negotiation of share of REDD+ RBP	
2.2.1 Technical Assistance window 1	EBBF will provide specialized technical assistance to Peruvian EBBs through an innovation partner, NESsT.	- Announcing the call for proposal - Evaluation of application forms and selection of winners - Development of training modules - Evaluation of application forms and selection of winners - Investment Memorandum Preparation	Technical Assistance reports
2.2.2 Awarding and implementing grants under investment window 2: Eco Bio Businesses	Under this investment window, the EBBF will provide seed capital to 55 EBBs with average grant volume of USD 90,000 awarded, implemented, monitored and reported upon.	- Announcing the call for proposal (once in a year) - Project identification and screening based on eligibility criteria and ESMS - Project prioritization based on prioritization criteria - Due diligence of potential investee EBBs - Environmental and social impact assessment - Development of ESMP - Approval of the proposed investments by the FMU and PAC - Execution of the investment - Periodic monitoring and reporting - Financial monitoring of grant repayment	Agreements between PROFONANPE and EBBs
2.2.3 Establishing and managing the EBBF Investors Roundtable	The IR will serve as a platform connecting investors and EBBs, developing relationships and identifying investment opportunities	- Mapping and engagement of private and public investors - Formalization of IR - Conducting IR meetings	Meeting reports Strategic documents

	and collaborations. The IR will gather investment executives from national and international investment institutions and will hold meetings each year. These meetings will include a presentation delivered by each selected project owner and a series of peer-to-peer networking opportunities organized in a manner that optimizes direct interaction among participants.	Transaction advisory and oversight of deals between IR members and investee EBBs	
2.2.4 Development and managing strategic partnerships	The FMU will work to establish ongoing partnerships with key LFIs and impact investors to encourage financing of the EBBs. These partners will form a Private Sector Advisory Committee (PSAC). PSAC members will be consulted on key aspects of the project. They will be invited to provide inputs into the design and composition of meetings of the investors roundtable and requested to publicize the roundtable and share information on EBBs with their networks. Additionally, private sector partners will be invited to provide funding to the EBBF.	- FMU to confirm interest in partnering among key LFIs and impact investors - FMU to establish private sector advisory committee (PSAC) - Ongoing: FMU to seek inputs from PSAC as needed - FMU to confirm level of support needed to join selection committee and other operational aspects - Board to approve selection committee plan - FMU to establish selection committee with private sector partners	Establishment of PSAC Selection Committee rules and membership requirements
E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)			
The monitoring, reporting and verification (MRV) requirements for the investee company will be stipulated in the investment agreement in a Project Monitoring and Reporting Plan, which is entered into between the EBBF and the investee company. The investment agreement will be signed for a 5 year duration approximately. Also it will define a set of measurable indicators against which investee company will report progress, including: - Quarterly reports (unaudited) which will be delivered no later than 60 calendar days after the end of each quarter and include: - A summary of the company's shareholders - A cash flow statement and balance sheet of the company (unaudited)			

- A summary of key developments in the preceding quarter (e.g. drawdowns, investments, sales, hiring)
- Report against the company's own Environmental and Social Monitoring Plan
- Annual report (audited) which will be delivered four months after the end of each fiscal year and include an audited report of:
 - A year-to-date cash flow statement of the company as of the end of such fiscal year;
 - A balance sheet of the company as of the end of such fiscal year
 - A year-to-date income statement of the company for such fiscal year

The data shall be accessible to the GCF at least until the end of the GCF implementation period.

This is additional to the reporting requirements already specified under the Accreditation Master Agreement which shall be incorporated into the EBBF legal documentation. In addition to the AMA and FAA reporting requirements, the EBBF shall prepare and submit reports to the GCF including:

- Semestral reports (unaudited) which will be delivered no later than 60 calendar days after the end of each semester and include:
 - A summary of the key terms of the EBBF;
 - A cash flow statement and balance sheet of the EBBF;
 - A year-to-date income statement of the EBBF;
 - A summary of key developments in the preceding semester (e.g. drawdowns, investment pipeline, new investors, workshops and events);
 - Information about the EBBF staff, roles, KPIs, responsibilities and remuneration; and
 - An overview of the EBBF investments (i.e. commitments, stakes in the projects, drawdowns, projects' key financial indicators, projects' valuation, compliance with the investment strategy) as well as a portfolio breakdown by sector, region, counterparty;
- Annual report (audited) which will be delivered four months after the end of each fiscal year and include an audited report of:
 - A year-to-date cash flow statement of the EBBF as of the end of such fiscal year;
 - A balance sheet of the EBBF as of the end of such fiscal year
 - A year-to-date income statement of the EBBF for such fiscal year;
- E&S and Impact reporting: The Project Administration Council will report regularly and in a transparent manner about activities, results, and challenges of its business operations in line with its vision and mission. ESG issues shall be reported in depth to the GCF at least once a year through the publications of PROFONANPE's Sustainability Report. Furthermore, ESG KPIs will also be reported regularly. In years 3, 6, and 10 the report will include an assessment on whether similar initiatives have been developed in other Latin American countries, which would reflect the replicability of PROFONANPE's activities.
- The EBBF's KPIs will be computed and communicated as part of the semestral report. EBBF's KPIs will be monitored and reported as follows:
 - Financial: PROFONANPE follows the International Financial Reporting Standards (IFRS). EBBF's Net Asset Value calculation is performed quarterly and reported to the investors as part of the semestral reporting.
 - CO₂ sequestration: The project follows the overall guidance of the International Panel on Climate Change (IPCC). The carbon sequestered by the project corresponds to the net CO₂ sequestration from reduced deforestation through sustainable forest management and conservation of forest carbon sinks by EBBs as follows:

$$E_t = \sum_i^I (A_{i,t} * EF_{i,t})$$

Where:

E_t	Emissions from deforestation in year t; tCO ₂ -e yr ⁻¹
$A_{i,t}$	Area deforested in the eco-zone due to land use change in year t; ha yr ⁻¹
$EF_{i,t}$	Emission factor applicable to the eco-zone i due to land use change in year t; tCO ₂ -e yr ⁻¹
i	Eco-zone i ; dimensionless
I	Total number of eco-zones; dimensionless
t	A year; dimensionless

- Job creation: employment generation is measured as full-time equivalent. More detailed breakdowns of the employment generation (gender disaggregation, level of income, level of education, type of employment contract) will be made available.

The Annual Sustainability Report will provide details on the impact and final methodologies used. The EBBF's performance will be measured against EBBF's targets in the mid-term and final assessment report based on EBBF's KPIs.

F. RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

Investments made by the Amazon EBBF are subject to market fluctuation and the risks inherent in all investments. Accordingly, no assurance can be given that the investment objective of PROFONANPE will be achieved. The risk factors related to the EBBF can be categorized as fund risks and as risks related to investing in emerging markets and new forest-based products. No exhaustive list of these risks can be given, and the risks may result in net asset value volatility and depreciation or not achieving the impact targets of the fund. General fund risks include risk related to its investment portfolio, the fund structure and how it operates, and external environment risks related to both e.g.:

- Currency risk (between the EBBF's home currency and the fund currency)
- Changes in laws applicable to PROFONANPE's structure, mandate and operations
- Changes in laws applicable to EBBF's projects portfolio
- Reliance on the investment committee and investment managers (FMU)
- Credit risk: risk of non-repayment by sub-projects
- Delays in REDD+ RBP
- Dependency of key personnel

The risk mitigation strategy of the EBBF is pursued at both project and fund level:

- Cautious and professional project planning, in strict compliance with IFC standards, allows for risk mitigation at project level
- Balanced project portfolio in terms of investment types (sectors, maturity stage, investment ticket), regions and products, allows for risk diversification at Fund level

Specific risk factors are continuously assessed throughout the entire investment process and are strictly monitored by the FMU. Appropriate mitigation strategies are analyzed and implemented proactively from inception stage.

The below section discusses more in details the key risk factors and mitigation measures related to investee projects, the investment operations in Peru and eco bio sectors.

Selected Risk Factor 1

Category	Probability	Impact
Technical and operational Technical and operational	MediumMedium	MediumMedium
Description		
In forest-based investments, inadequate planning and implementation agroforestry measures, as well as the occurrence of pests and disease, can result in poor growth and quality of timber and non-timber products. The occurrence of such events may lead to the underperformance of investments in forest-based projects with negative impact on the debt repayment capacity of the project and its ability to attract external investors.		
Mitigation Measure(s)		
The EBBF's investment screening process shall prioritize projects adopting international best practices for agroforestry practices and others. Selected projects shall have the capacity to implement best practices from the planning phase, with proper selection of species for the given site conditions, definition of operations for selected species and production targets, and acquisition of high-quality planting materials; and continues throughout the production cycle through timely implementation of agroforestry operations, conducted by skilled staff. Proper project selection aimed at identifying companies with adequate planning and implementation capacity will minimize deviations from the plan of plantation performance and will reduce the vulnerability of plantations against any pests and disease. In addition, eligible expenses of EBBF grants shall include pest and disease management programs, including preventive measures such as species diversification. Finally, plantation investments will be strictly monitored by the FMU to identify deviations from the original plan and develop mitigation measures.		

Selected Risk Factor 2

Category	Probability	Impact
Technical and operational Technical and operational	LowLow	MediumMedium

Description		
External natural shocks such as calamities, floods, storms and wildfires can have negative impacts on the performance of forest-based businesses and thereby on the financial performance of the EBBF's investments. Such events can weaken investee projects making them more vulnerable against future events and result in irreversible financial losses.		
Mitigation Measure(s)		
Management practices such as species diversification and good-quality management practices can reduce the vulnerability of forest-based projects against extreme climate events that might occur in Peru, thus reducing any negative impacts on their performance. Fire events need special consideration in plantation investments. Forest fires can cause the loss of significant planted areas and in some cases, they are the result of social conflicts and agricultural practices in surrounding areas, since fire is a common practice used to prepare agricultural and pastureland. Investee projects will require to implement proper fire management strategies, focusing on preventive measures and contingency plans. Fire prevention measures shall be integrated in the investee project's technical operations, by ensuring an adequate level of diversification and avoiding large areas of homogenous vegetation, as well as conducting maintenance operations in a timely manner. The risk of fire events will be managed as well through proactive social strategies, targeting cooperation and aligning interests with local communities, through employment generation, enhancement of livelihoods and promotion of out-grower schemes, as well as fire awareness campaigns.		
Selected Risk Factor 3		
Category	Probability	Impact
Technical and operational Technical and operational	Low Low	Medium Medium
Description		
Sudden changes in the demand for the services and products of EBBs, namely a decrease in volumes and product prices, can compromise the financial performance of EBBF investments.		
Mitigation Measure(s)		
Global trends indicate a reverse trajectory with a growing demand for EBBs' products and services. Population growth and economic development, together with increasing visibility of forest-based products, suggest that favorable market conditions will persist. The EBBF will prioritize investment in EBBs with products and services in growing demand from both domestic and international markets. EBBF will seek an adequate level of diversification in its portfolio in terms of products, services, geographies, export markets and target customers.		
Selected Risk Factor 4		
Category	Category	Category
Other Other	Other Other	Other Other
Description		
<u>Expropriation</u> Expropriation or other such political risk event is considered extremely unlikely <u>Corruption</u> PROFONANPE will implement an absolute zero tolerance to corruption, money laundering (ML), terrorist financing (TF), and prohibited practices (PP) risks. <u>Legal risks</u> Inadequacy of local regulatory environment		
Mitigation Measure(s)		
Political risks can, to an extent, be mitigated by making sure that the projects are implemented in a transparent manner and making sure that the local stakeholders (from grassroots level to local and national government level) are appropriately informed and heard of throughout the implementation process. In addition, the mitigation measures include local participation schemes, integration of neighboring communities as well as good cooperation with the local		

administration. PROFONANPE has a complete and extensive understanding of Peru's regulatory environment. Regardless of level of regulation, PROFONANPE's projects will be implemented following the highest industry standards, including those related to environmental and social aspects of the projects.

Selected Risk Factor 5

Category	Probability	Impact
GovernanceGovernance	LowLow	MediumMedium
Description		
Insufficient co-ordination and/or co-operation between entities (MINAM and PROFONANPE) resulting in project implementation delays.		
Mitigation Measure(s)		
MINAM and PROFONANPE have a long track record of working closely to deliver complex programmes and projects. The EBBF Board will consist of representatives from both organizations to ensure effective coordination, communication and management. It will also be responsible to identify and monitor programme-level risks and suggest corrective actions.		

Selected Risk Factor 6

Category	Probability	Impact
Technical and operationalTechnical and operational	MediumMedium	LowLow
Description		
Political shifts could reduce the national government's interest in channeling resources to EBBs and potentially change incentives to promote carbon intensive investments. From the project's perspective, this could imply a reduction in cooperation and protracted bureaucratic processes that might delay the implementation of REDD+ measures.		
Mitigation Measure(s)		
The project's development objective is framed in Peru's long-term planning and strategy document which shelters the project from changes in the national political landscape. The Ministry of Environment, which is the Executing Entity under the proposed project, is the main decision making body responsible for the development and implementation of REDD+ measures.		

Selected Risk Factor 7

Category	Probability	Impact
GovernanceGovernance	LowLow	LowLow
Description		
Shifting political priorities and changes in the government administration could hinder REDD+ policy that is both directly related to slowing down deforestation in the country and indirectly related to deforestation as enabling conditions for the bio eco businesses facility (Component 2).		
Mitigation Measure(s)		
Establish REDD+ policies as part of specific rules, regulations and or plans that are formally approved by competent authorities, with clear mandates for future administrations. Also, plan for schemes that ensure the financial self-sustainability of these measures.		

Selected Risk Factor 8

Category	Probability	Impact
Technical and operationalTechnical and operational	LowLow	MediumMedium
Description		

COVID-19 pandemic caused significant disruptions in the implementation of projects across the country. The Government of Peru has the faculty to mandate a country-wide lockdown any time according to the circumstances. As the country is slowly reopening its economy, uncertainties remain with regard to possible waves of cases. Should the number of cases continue to climb during the program implementation period, this might cause delays and disruptions to the launch and implementation of the program's activities, and also it could affect the Facility's demand for resources that have been programmed for EBB companies.

Mitigation Measure(s)

PROFONANPE and MINAM are fully equipped to work remotely. Awareness raising and capacity building activities can be conducted via webinars and online training modules that will help EBBs to prepare adequately to assume repayable grant. The repayable grant was designed to be reimbursed for a value of 20% annually annually for 5 years approximately. In conservative terms, it has been estimated that there will be a 30% return success.

Selected Risk Factor 9

Category	Probability	Impact
Technical and operational	Low	Medium

Description

Due the economics and social characteristics of small and medium enterprises in Peru as the EBBs, it could be presented an scenario where a larger than expected proportion of repayable grants end in default.

Mitigation Measure(s)

To mitigate the risk of default, Annex 3 includes an assumption for the amount of minimum cash needed in the EBBF. This assumption was made as per the analysis performed by the IDB for Biobusinesses in Peru, where it is mentioned that in 2019 the average default rate for medium and small enterprises was around 8%. Furthermore, during consultations with the innovation partner, it was mentioned that during the incubation phase for the EBBs, special attention would be given to developing the necessary capacities to be able to receive and repay the grants.

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

Implemented under PROFONANPE's institutional framework, and capitalized with GCF funding, the EBBF seeks to contribute to Peru's national climate change mitigation objectives. In doing so, the EBBF aims to directly contribute to the implementation national policies to implement REDD+ actions and eco and bio businesses in the Peruvian Amazon Region. Accordingly, the EBBF will adhere to a comprehensive set of environmental and social safeguards policies to avoid, prevent, minimize and mitigate potential negative impacts to people and their environment and strive to develop benefits in the development process, as outlined below. Applicable safeguards frameworks and the EBBFs environmental and social management system are outlined below.

Applicable Safeguards to the EBBF

1. PROFONANPE's Environmental Social and Gender Policy

As defined in the ESMS for the EBBF (Annex 6), the EBBF will be governed PROFONANPE's Environmental, Social and Gender Policy (ESGP). The ESGP is underpinned by the Equator Principles⁴², an environmental and social risks management framework for financial institutions, and is consistent with the GCF's Social and Environmental, Indigenous People and Gender Policies as per PROFONANPE's accreditation under the GCF. The ESGP has been designed to prevent and manage potential adverse environmental and social impacts from projects and strategies to go beyond a do-no-harm approach and rather deliver positive outcomes for people and the environment. The ESGP aims to: i) avoid, correct, mitigate and manage the possible adverse environmental and social risks and impacts that may arise during the implementation of its investee projects; and, ii) improve the environmental and social benefits and opportunities for the local populations involved. See 9.

Table 9 EBBF's environmental, social and gender policies (ESGP)

ESG Policy	Objectives of the Policy
ESP 1. Assessment and management of environmental and social impacts and risks	(1) Identify the Facility level and Portfolio Company level environmental and social impacts and risks. (2) Establish an efficient and effective plan for managing previously identified environmental and social impacts and risks to avoid and / or mitigate them. (3) Establish responsibilities for managing, monitoring and evaluating environmental and social impacts and risks. (4) Guarantee that affected communities have adequate access to information during all phases of the project cycle. (5) Ensure that complaints and suggestions from the affected population are addressed. (6) Ensure that the gender approach is taken into account during all phases of the program
ESP 2. Compliance with national laws and regulations	(1) To ensure compliance with national legislation and international commitments derived from agreements, conventions, etc. (2) Establish the necessary procedures to ensure compliance by Portfolio Companies.
ESP 3. Conservation of biological diversity	(1) Conserve ecosystems, biological diversity, species and genes. (2) Maintain and improve ecosystem services.

⁴² Equator Principles: P1 Review & Categorisation; P2 E&S Assessment, P3 Applicable E&S Standards, P4 E&S Management System & EP Action Plan, P5 Stakeholder Engagement, P6 Grievance Mechanism, P7 Independent Review, P8 Covenants, P9 Independent Monitoring & Reporting, P10 Reporting & Transparency. <https://equator-principles.com/about-the-equator-principles/>

	(3) Promote the sustainable management of natural resources through practices that align with the Sustainable Development Goals (SDGs)
ESP 4. Climate change	(1) Guarantee low-carbon development in activities related to the conservation of biological diversity. (2) Contribute to reducing vulnerability and increasing the adaptability and resilience of ecosystems and populations to climate change.
ESP 5. Pollution prevention	(1) Avoid or minimize possible air, water and soil contamination in the areas of intervention.
ESP 6. Involvement and participation of actors	(1) Ensure the full and effective participation of the populations linked to the project. (2) Establish effective and inclusive means of involvement of the actors linked to the project
ESP 7. Gender approach	(1) Ensure the mainstreaming of the gender approach in Portfolio Companies. (2) Establish effective and inclusive means for the full and effective participation of women in projects implementation
ESP 8. Indigenous and Native Peoples	(1) Avoid any damage or negative impact that Portfolio Companies may cause to indigenous or native peoples. (2) Promote the benefits and opportunities of sustainable development for indigenous or native peoples. (3) Ensure the full and effective participation of indigenous or native peoples, through appropriate cultural practices.
ESP 9. Cultural Heritage	(1) Avoid any damage or negative affection on the cultural heritage derived from the management of the Portfolio Companies. (2) Promote the equitable exchange of benefits from the use of cultural heritage.
ESP 10. Involuntary resettlement and / or restriction on the use of renewable natural resources	(1) Anticipate and avoid involuntary resettlement or restriction of the use of natural resources derived from the implementation of the Portfolio Companies. (2) Mitigate adverse social and environmental impacts derived from the restriction of use of resources, which have been identified as unavoidable when implementing the program. (3) Consider improving the means and quality of life conditions of rural and indigenous populations.
ESP 11. Job safety	(1) Anticipate and avoid any risk derived from the execution of the Facility and Portfolio Companies that may negatively affect its personnel, project teams and their counterparts.

Moreover, the EBBF will adhere to a series of principles, and integrity and good governance standards throughout the lifecycle of the facility and EBBs; see Annex 6 for more details.

2. REDD+ safeguards and Peru's country safeguards approach

As outlined in its First Summary of Information (SOI) on how REDD+ safeguards are being addressed and implemented, for the period 2012-2019, Peru has made significant progress to interpret the set of social, environmental and governance (ESG) safeguards underpinning the global REDD+ results-based financing framework, known as Cancun Safeguards. Similarly, through a country approach to safeguards, Peru has established a national environmental and social management framework, supported by a robust operational governance framework geared at enabling the unified, coordinated and efficient environmental and social management of potential risks and opportunities from REDD+ actions. The country approach to REDD+ safeguards has also been conceived to facilitate the coordinated

monitoring and reporting on environmental, social and development impacts from REDD+ actions, beyond forest mitigation outcomes.

As established in Ministerial Resolution 143-2021, all REDD+ actions to be implemented in Peru in the context of REDD+ results-based financing are expected to actively pursue the delivery of environmental, social and development co-benefits, and adhere to the country approach to REDD+ safeguards, as part of the minimum eligibility criteria for REDD+ actions; see Box 1. Accordingly, and in a key role to pilot the implementation of small-scale EBB interventions nested under the umbrella of the national REDD+ framework, the EBBF will adhere to the country approach to REDD+ safeguards.

Institutional strengthening activities conceived under Component I of the EBBF will facilitate the integration of the environmental, social and governance requirements defined under Peru's country approach to safeguards as part of the revision of the EBBF's ESMS and other relevant guidance and operational instruments in preparation to the operation of the facility and the first EBB call for proposals. In doing so, the EBBF's will ensure the environmental and social integrity and sustainability of the EBBs aligned with, and reporting under the national REDD+ framework, including under the Safeguards Information Module (MIS, for its name in Spanish).

EBBFs Environmental and Social Management System

As underscored in the EBBF's Environmental and Social Management System (ESMS), concentration of power and limited representation in decision-making bodies pose a threat to effective and inclusive participation of women and indigenous communities, hindering the possibility for EBBs to address their needs and priorities. Remaining gender inequalities on access to labor market and to information can in turn result in unequal access to benefits from EBBs of the projects, particularly for women. Moreover, ill-designed EBBs can also result in negative environmental impacts where the use of natural resources goes beyond its sustainable renewal, or the operation of EBBs result on increased liquid and solid waste or increased use of fossil fuels.

The EBBF has been designed to generate a wide range of positive environmental and social impacts through the integration of environmental and social eligibility and prioritization criteria for the selection and approval of EBBs, but also through a comprehensive ESMS that constitutes an environmental and social management framework to ensure that both the facility and supported EBBs adhere to all applicable environmental and social safeguards and policies through the facility and sub-projects life-cycle. In doing so, the EBBF's ESMS aims to avoid and/or manage key social risks identified during the facility proposal development (see Table 9).

Table 4 Key social risks identified for the EBBF

Risk	Probability	Impact
Risk factor 9 Concentration of power and representation functions in decision-making bodies by men, which discourages the participation of women and the identification of their needs.	Medium	Medium
Risk factor 10 Difficulties for women to enter the labor market in adequate and equal conditions, which will generate an unequal use of the benefits of the project.	High	Medium
Risk factor 11 Possibility of neglecting cases of violence against women, which can generate difficulties in relations with local actors.	Medium	Medium
Risk factor 12 Scarce information on the situation of women in the forestry sector and in eco and bio businesses, which hinders decision-making and the design of differentiated actions.	High	Medium

Risk factor 13 Changes in the internal dynamics of indigenous institutions (associated with the exercise of power) are caused by economic income and the information provided by the project.	Low	High
Risk factor 14 Loss of ancestral traditions in the production process due to the incorporation of new technologies.	Low	High

Source: Adapted from the EBBF's ESMS, Annex 6 Risks and Mitigation Measures.

Moreover, as stated in the EBBF's ESMS, adherence to and compliance with applicable safeguards throughout the lifecycle of the facility and selected EBBs while directly contribute to the achievement of the EBBF's key KPIs, outlined in Box 2.

Box 2 Environmental, social and gender Key Performance Indicators of the EBBF

- Employment generated by the investments of the Facility
- Tonnes of CO2 reduced or avoided from forest and land under sustainable management
- Hectares of land or forests under improved and effective management
- Number of females and males benefitting from the project activities
- Number of indigenous people benefitting from project activities

The implementation of the ESMS at the facility level is responsibility of the PFMU, through its Social & Gender Specialist and aims to facilitate the integration of environmental, social and governance principles, policies and standards throughout the facility and investments life cycle, from the investment process to the running investment stage, to divestment stage (see Figure 8).

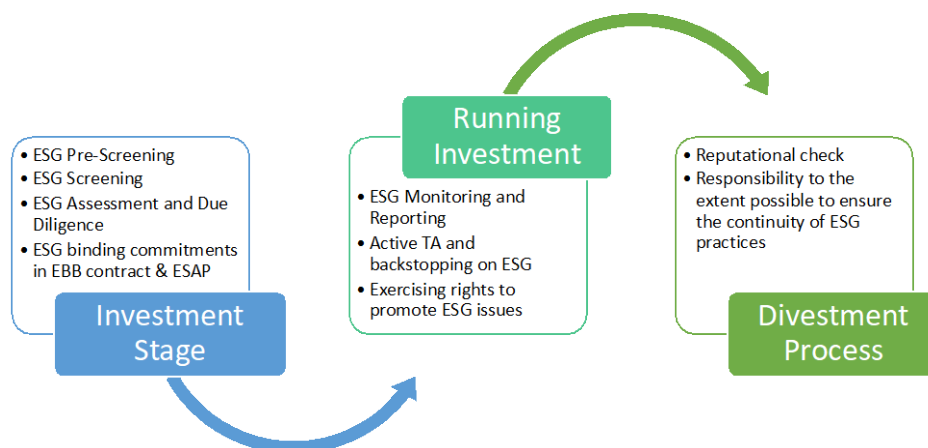


Figure 6. Environmental and Social Management in the EBBF lifecycle

As defined in the EBBF's ESMS, and consistent with PROFONANPE's accreditation conditions under the GCF, the EBBF will only select/approve EBBs whose environmental and social risk assessments results in risk Categories B or Category C, only. Moreover, the EBBF will not invest in EBBs which benefit from and/or which business revenue derives from any of activities in the EBBF exclusion list; see Annexes 6 and 21.

- Category B: potential limited adverse environmental or social risks and/or impacts that are few in number, generally site-specific, largely reversible, and readily addressed through mitigation measures;
- Category C: Minimal or no adverse environmental or social risks and/or impacts.

Environmental and Social Risk Assessment and Management at the EBB level

Through its ESMS, the EBBF seeks to support and facilitate EBB's efforts to effectively deliver environmental, social and development benefits throughout the lifecycle of supported EBBs.

The EBBF will only support EBBs are committed to comply with all criteria and requirements to ensure and demonstrate adherence with applicable safeguards, carrying out its operations consistent with the EBBF's environmental and social integrity and sustainability criteria, and so guarantees the sustainability of investments in both aspects; an exclusion list is included in Box 2 above. Figure 9 below outlines environmental and social impacts identification, screening, assessment and management process under the EBB's lifecycle, as defined in the EBBF's ESMS. Said assessment and management responsibilities of EBBs, including tools and outlines, are further detailed in the ESMS (Annex 6) and Operational Manual (see Annex 21).

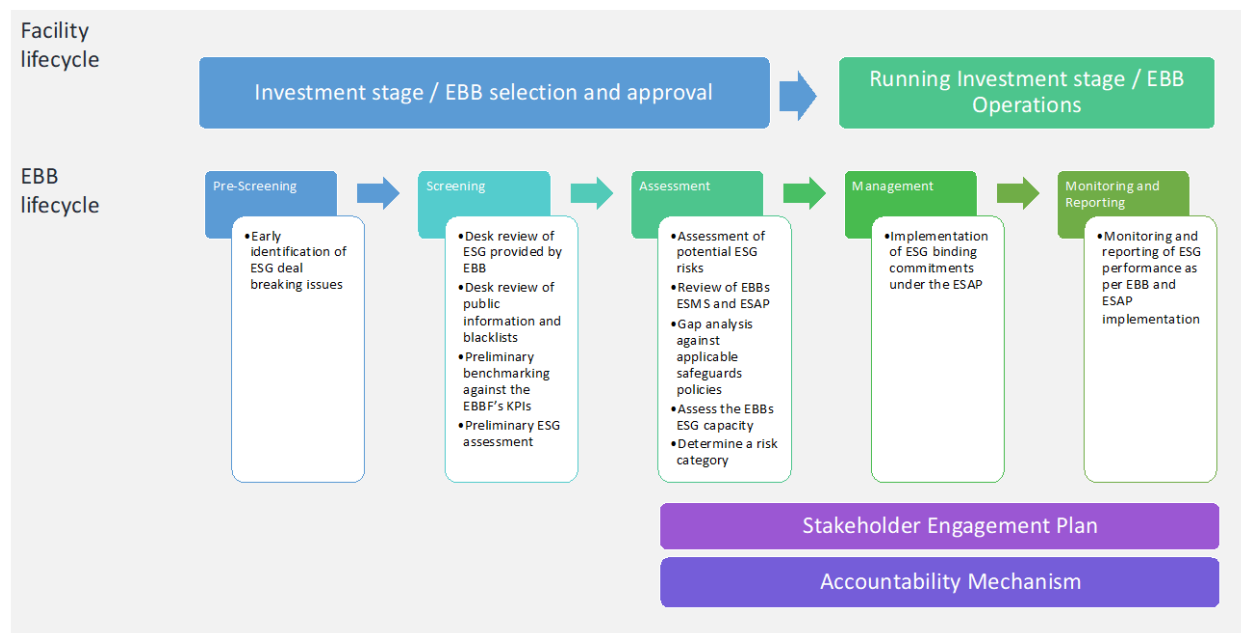


Figure 7. Environmental and Social Management in the EBB lifecycle

As part of their ESMS, EBBs will prepare a Stakeholder Engagement Plan for the EBBs, including an Indigenous Peoples Planning Framework, when the EBB is located in an area with the presence of indigenous peoples, to ensure culturally appropriate and responsive stakeholder engagement.. Similarly, EBBs will have in place an accountability mechanism for receiving and addressing complaints, claims and suggestions from EBB end-beneficiaries and other relevant stakeholders, consistent with the EBBF's accountability functions and PROFONANPE's Grievance and Accountability mechanism⁴³. See for the complete ESMS in Annex 6 and SEP in Annex 7.

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

Gender equality is especially important factor to consider in forestry, as it has traditionally been male-dominated industry. In this regard, EBBs show a higher-than-average propensity towards women leadership with 51% of EBBs listed in MINAM's Eco & Bio Business platforms being led by female entrepreneurs. PROFONANPE is committed to promoting gender equality and the basis for PROFONANPE's Gender Policy is formed by the IFC's Sustainability Framework and the Performance Standards which has specific sections on gender equality. The Fund seeks to promote gender equality throughout the whole investment process in four thematic areas:

⁴³ <https://profonanpe.org.pe/quejas/>

- True participation: PROFONANPE recognizes that minimum number of women represented is not always enough, but their actual participation and ability to influence is more relevant. The EBBF will prioritize support to women-led enterprises and the creation of job opportunities for women.
- Equal benefits: PROFONANPE will use its best endeavors to ensure that the social and economic benefits that its stakeholder groups derive from its operations will be distributed in an equal basis considering the needs of the various groups and noting that such needs may vary between the groups.
- Capacity development: PROFONANPE is committed to contribute to capacity development as part of its activities and will seek to understand the specific needs of the target groups of these activities to understand their usefulness, and where applicable organize trainings to empower women and strengthen their capacities.
- Gender-disaggregated data: The EBBF will seek to develop and apply transparent assessment and reporting methods that will include gender-disaggregated data. The objective of this data is to be able to provide meaningful information and regular feedback on the impact and effectiveness of the fund's gender responsive approach.

Sub-project level gender assessment can only be provided at a later stage and on a project to project basis as the target sub-projects will only be chosen during the implementation period (the fund investment period). When assessing project opportunities PROFONANPE will seek to understand the prevailing socio-economic and cultural context as well as gender norms and perceptions related to the project area and all of its stakeholders. Where applicable, a gender-responsive social analysis as part of the overall social and environmental impact assessment will be undertaken to understand the underlying causes and drivers of gender inequalities. Where laws and regulations disadvantage one gender over the other (often women, but men can also be affected), PROFONANPE will seek to ensure that disadvantaged populations are protected and not further disadvantaged. Where applicable, PROFONANPE will seek to address systemic and structural practices that create barriers to the realization of women's rights and gender equality. PROFONANPE's investee companies will be encouraged to provide and operate in an environment that aspires to creating equal opportunities for both women and men, which in some instances may result in going "beyond the law". Investee companies will be required to have a gender policy, and a timetable and procedures for monitoring its implementation. Gender equality is included as a company performance indicator.

For details please refer to Annex 8.

The EBBF will also support the achievement of specific objectives of the Gender and Climate Change Action Plan, which is a key policy of the Peruvian government.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

PROFONANPE has significant expertise in working with donor funds and a track record in implementing or co-implementing complex projects and programmes. By 2020, PROFONANPE managed and implemented 36 programmes and projects using sound financial management practices. The PROFONANPE Directorate of Administration and Finance adheres to policies and procedures that meet international donor agencies' requirements.

In the context of this project, PROFONANPE is responsible for the fiduciary aspects and is accountable for all financial and investment activities. PROFONANPE will open a dedicated bank account, in United States dollars, for the establishment and management of the Amazon EBBF. The principal regulatory framework for the project's financial management will comply with (a) Peru's laws governing budget and financial management for the private sector; and (b) the operating manuals and norms of PROFONANPE, which include acceptable policies and procedures in line with GCF fiduciary requirements. The tailor-made administrative management integrated system (Sistema Integrado de Gestión Administrativa) of PROFONANPE enables the recording of the entity's transactions through the use of international accounting standards (IFRS). Financial statements are prepared using the accrual basis of accounting, the IFRS and the standard chart of accounts accepted in Peru.

PROFONANPE's control specialist reporting to the Director of Administration and Finance will be in charge of: (a) checking all payment support documents and ensuring compliance with the donor's hiring and procurement conditions; (b) checking compliance with terms of contracts for the procurement of goods and services, in regard to deliverables, deadlines, service conformity, amounts and characteristics or delivered goods or equipment, work assessments, and work progress reports; and (c) ensuring payment vouchers comply with tax regulations. Furthermore, PROFONANPE will select independent external auditors to audit the project. In addition, the administrative staff of PROFONANPE has established periodic and spot-check reviews (in situ) of programmes' and projects' accounting and financing

procedures. The purpose of these reviews is to verify the accuracy of the documents and to ensure that agreed activities have been implemented using internal regulations as defined in the AMA.

The investment process of Amazon EBBF will be managed by PROFONANPE's team itself. PROFONANPE's team will also perform the technical due diligence internally. Where needed, PROFONANPE aims to efficiently work together with a recurring panel of external service providers procured in a professional and commercial manner based on well-defined terms of references, competitive rates, monitoring and control of service delivery, and evaluation for future assignments. Subject to PROFONANPE's agreement, NESsT is also able to provide support with the disbursement and implementation of the grants for the EBBs.

G.4. Disclosure of funding proposal

Note: The Information Disclosure Policy (IDP) provides that the GCF will apply a presumption in favour of disclosure for all information and documents relating to the GCF and its funding activities. Under the IDP, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Information provided in confidence is one of the exceptions, but this exception should not be applied broadly to an entire document if the document contains specific, segregable portions that can be disclosed without prejudice or harm.

Indicate below whether or not the funding proposal includes confidential information.

☒ **No confidential information:** The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☐ **With confidential information:** The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

H. ANNEXES

H.1. Mandatory annexes

- ☒ Annex 1 NDA no-objection letter(s) [\(template provided\)](#)
- ☒ Annex 2 Feasibility study - and a market study, if applicable
- ☒ Annex 3 Economic and/or financial analyses in spreadsheet format
- ☒ Annex 3a Explanation of Annex 3 Financial Analysis
- ☒ Annex 4 Detailed budget plan [\(template provided\)](#)
- ☒ Annex 5 Implementation timetable including key project/programme milestones [\(template provided\)](#)
- ☒ Annex 6 E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3):
[\(ESS disclosure form provided\)](#)
 - ☐ Environmental and Social Impact Assessment (ESIA) or
 - ☐ Environmental and Social Management Plan (ESMP) or
 - ☒ Environmental and Social Management System (ESMS)
 - ☐ Others (please specify – e.g. Resettlement Action Plan, Resettlement Policy Framework, Indigenous People's Plan, Land Acquisition Plan, etc.)
- ☒ Annex 7 Stakeholder engagement plan
- ☒ Annex 8 Gender assessment and project/programme-level action plan [\(template provided\)](#)
- ☒ Annex 9 Legal due diligence (regulation, taxation and insurance)
- ☒ Annex 10 Procurement plan [\(template provided\)](#)
- ☒ Annex 11 Monitoring and evaluation plan [\(template provided\)](#)
- ☒ Annex 12 AE fee request [\(template provided\)](#)
- ☒ Annex 13 Co-financing commitment letter, if applicable [\(template provided\)](#)
- ☒ Annex 14 Term sheet including a detailed disbursement schedule and, if applicable, repayment schedule

H.2. Other annexes as applicable

- ☒ Annex 15 Evidence of internal approval [\(template provided\)](#)
- ☒ Annex 16 Map(s) indicating the location of proposed interventions
- ☐ Annex 17 Multi-country project/programme information [\(template provided\)](#)
- ☐ Annex 18 Appraisal, due diligence or evaluation report for proposals based on up-scaling or replicating a pilot project
- ☒ Annex 19 Procedures for controlling procurement by third parties or executing entities undertaking projects financed by the entity
- ☒ Annex 20 First level AML/CFT (KYC) assessment
- ☒ Annex 21 Operations manual (Operations and maintenance)
- ☒ Annex 22 Assessment of GHG emission reductions and their monitoring and reporting (for mitigation and cross cutting-projects)⁴⁴
- ☒ Annex 22b Carbon Methodology Note

- ☒ Annex 23 Internal Labour Regulations
- ☒ Annex 24 Code of Ethics
- ☒ Annex 25 Rules for the Prevention and Fight against Corruption
- ☒ Annex 26 Guidelines to Prevent Conflict of Interest
- ☒ Annex 27 Investigation procedures in case of irregularities
- ☒ Annex 28 Social Consultations Report
- ☒ Annex 29 Permina Global Commitment letter

** Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.*

⁴⁴ Annex 22 is mandatory for mitigation and cross-cutting projects.